



Student Housing Feasibility Study

Bellevue College

January 9, 2015

Bellevue College Student Housing Feasibility Study

1-9-2015

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Executive Summary Student Housing Feasibility Study

Bellevue College

prepared by Spectrum Development Solutions LLC for Bellevue College

Introduction

This document summarizes the results of a report entitled *Bellevue College Student Housing Feasibility Study* prepared January 9, 2015. Bellevue College currently has no on-campus housing options, and it is interested in exploring potential opportunities for providing student housing to further the College mission.

Objective

The purpose of the study was to develop program needs with Bellevue College, review existing site information and land use criteria to identify potential project sites, and then determine if a student housing development project for Bellevue College could be undertaken that would be financially supported by the revenue generated from rents.

Conclusion

The study found that an apartment style residence hall is the most appropriate for Phase 1 since it would not require a new dining facility in conjunction with the project. The campus does have viable sites for a housing project on current campus owned properties with access to required infrastructure. A Bellevue College student housing project that is fully supported by rent revenue is possible with a range of cash equity options ranging from \$6.6K to \$9.8M. The project return varied between 20% and 68%.

Process

Utilizing the July 2010 Bellevue College Master Plan and site walks, three siting options were selected as potential locations for a phased 1000 bed campus housing complex. Site Option A fully utilized parcels acquired within the Sunset Ranch development in the northeast quadrant of campus. Site Option B utilized a large portion of the existing parking lot 9 as well as acquired parcels within the Sunset Ranch development in the northeast quadrant of campus. Site Option C utilized existing parking areas in the southeast quadrant of campus.

Site Option B was selected by Bellevue College Campus Operations with the following instructions:

- Gather additional due diligence information for this specific site
- Assume an approximately 350 bed Phase 1 building with a variety of apartment style units that would be fully located on campus property outside the acquired Sunset Ranch parcels since there are ongoing discussion with the City of Bellevue regarding land use requirements for Sunset Ranch parcels owned by the College.
- Future phases should be located on Sunset Ranch parcels and sized for an overall housing community of approximately 1000 beds
- Maximum height of the buildings to be 5 levels
- Provide financial models for several Phase 1 options

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Executive Summary (continued)

Due Diligence

Due Diligence investigations looked at Land Use/Zoning, Parking & Traffic, Topography/Landscape, Environmental, Wet Utility Public Infrastructure, Storm Drainage, Sanitary Sewer, Domestic Water and Fire Protection, Data, Power and Telecommunications to determine if there were any special considerations related to development of Site Option B. The following items are special considerations, based on due diligence, related to development of the site:

- Land zoned R-5 (Residential, 5 units per acre), but the City of Bellevue and Bellevue College have a letter of understanding that exempts the College from City land use restrictions. The Letter of understanding is fully applicable to the existing parking lot site being utilized for Phase 1. Sunset Ranch parcels for future phases may have additional land use restrictions based on future discussions between the College and the City.
- Development of the site will displace approximately 178 parking stalls. This loss could be fully absorbed by existing vacant parking stalls on campus, but the project budgets are including an allowance for replacement of 50 parking stalls (site to be determined).
- A 20'-0" grade change occurs across the site. This will likely require a "stepped" building mass and basement spaces where the hillside is cut into.
- Adequate storm drainage capacity exists for Phase 1, but future phases would require storm drainage extensions
- Sanitary Sewer has sufficient capacity to serve Phase 1. Future phases would require extensions
- Water supply for fire hydrants and sprinkler systems will require a 1000' water main extension

Financial Models

Financing and Design Assumptions were established with Bellevue College and utilized in the following Financial Models for an approximately 350 bed Phase 1 Residence Hall:

- 4 level Apartment/Residence Hall (354 bed) assuming Residential Prevailing Wages and lower rents
- 4 level Apartment/Residence Hall (354 bed) assuming Residential Prevailing Wages and higher rents
- 4 level Apartment/Residence Hall (354 bed) assuming Commercial Prevailing Wages and lower rents
- 5 level Apartment/Residence Hall (371 bed) assuming Commercial Prevailing Wages and lower rents

Preferred Solution

After the review of the Financial Models by Bellevue College staff from Campus Operations, Finance and Administrative Services, the preferred solution for advancement to design is a 4 level Apartment/Residence Hall (354 bed) assuming Residential Prevailing Wages. Cash equity required from Bellevue College varies depending on the rent structure utilized. A lower rent model will require \$8.8M in cash equity with a 20% Project Return, whereas a higher rent model will require \$626K in cash equity with a 68% Project Return.

Recommendation

The Financial Models were developed around a Master Project Schedule that assumes a Summer 2018 move-in. To maintain this schedule, it is recommended that the process for selection of a Development Manager and Architect would begin in February of 2015 with the intent of pursuing design of a 4 level Apartment/Residence Hall assuming a design that allows for use of Residential Prevailing Wages.

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Process

This report is generated from information attained through a due diligence study and feasibility analysis. It builds off information provided by Bellevue College for project goals and design values.

The Due Diligence effort considered the following for the selected site:

- Land Use & Zoning
- Parking & Traffic
- Topography & Landscape
- Environmental
- Wet Utility Public Infrastructure
- Storm Drainage
- Sanitary Sewer
- Domestic Water/Fire Protection
- Data
- Power
- Telecommunications
- Geotech
- Survey
- Market Study

A Feasibility Analysis was done once it was understood that the selected site did not appear to pose prohibitive risks for a project. The following work was completed for the Feasibility Analysis:

- Site Analysis
- Massing Study
- Financial Analysis

From the information above several Phase 1 options were looked at and a preferred option was determined.

Bellevue College Student Housing Feasibility Study

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BELLEVUE COMMUNITY COLLEGE CONCEPT PLAN

SCALE: 1" = 100'-0"

NORTH ▲

0 100' 200'

revised 03.24.08

- EXISTING BUILDINGS
- PLANNED ADDITIONS
- PLANNED BUILDINGS
- PLANNED STRUCTURED PARKING
- NON-BCC STRUCTURES

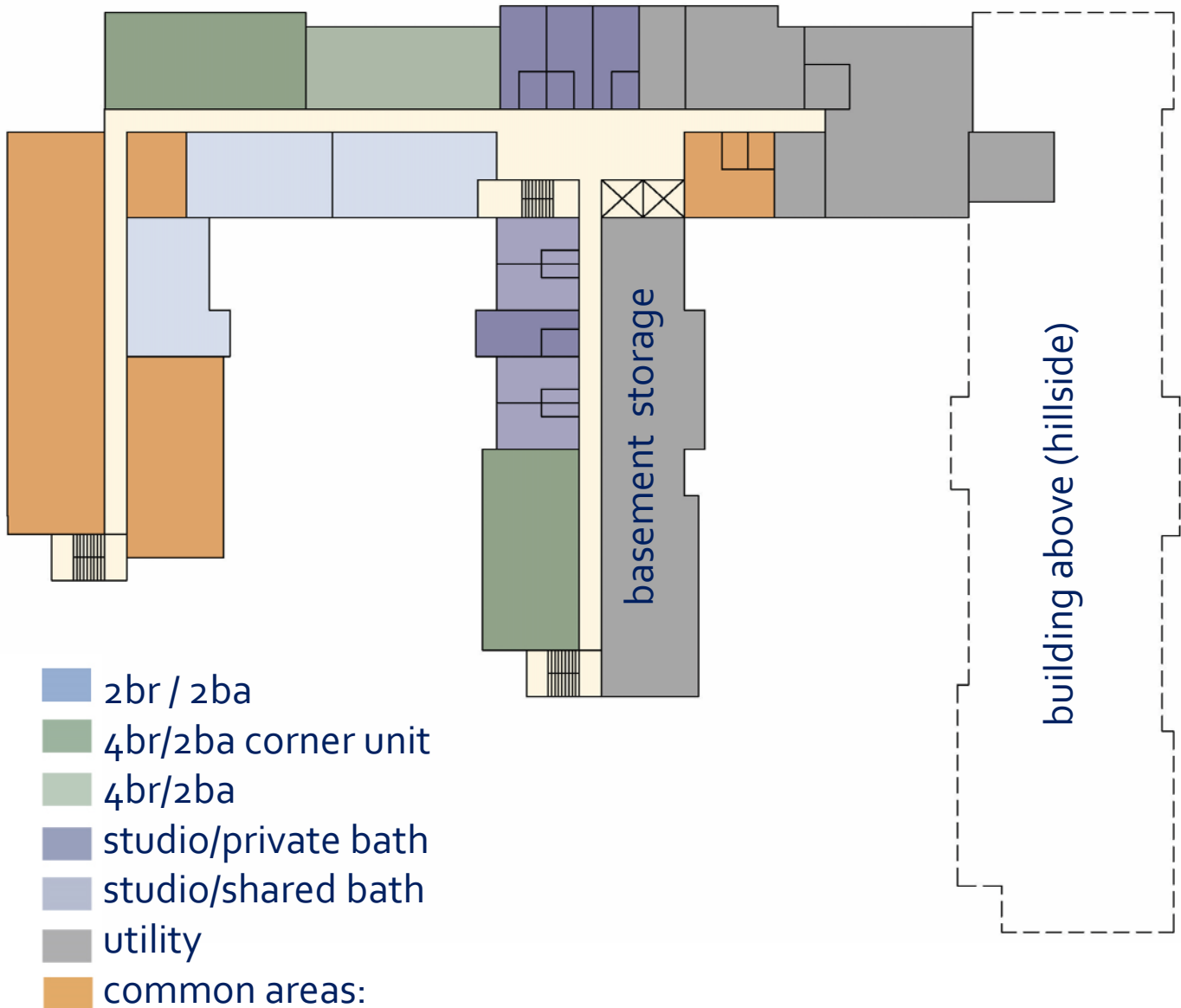
PREFERRED OPTION: SITE OPTION B – 4 LEVEL RESIDENCE HALL

5

SPECTRUM
DEVELOPMENT SOLUTIONS Innovative strategies. Proven expertise.

4 Level Residence Hall (Phase 1) – Ground Level

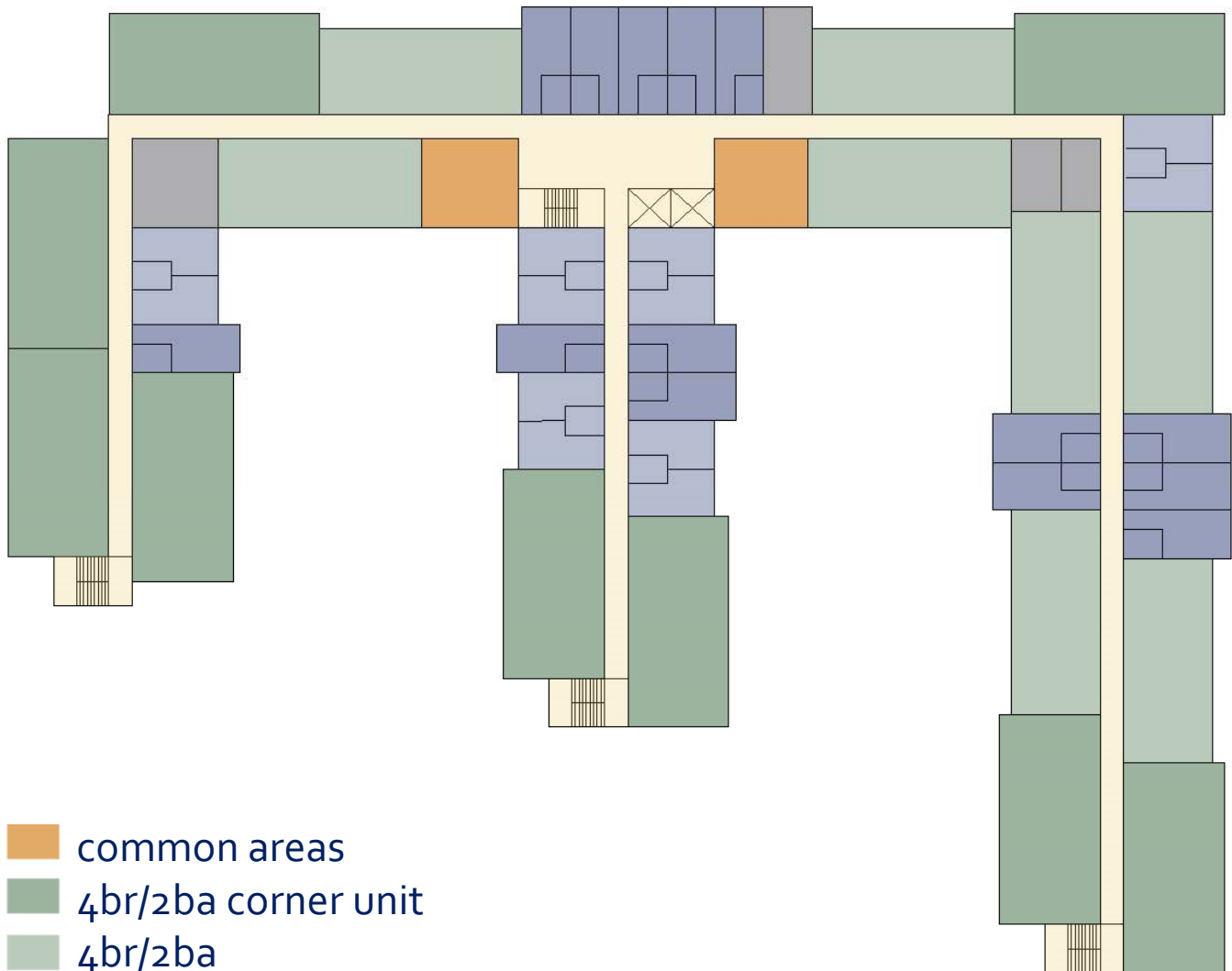
(See appendix for unit types and programming summary)



lobby
group kitchen
meeting room
lounge
vending
RD office/advising
restrooms

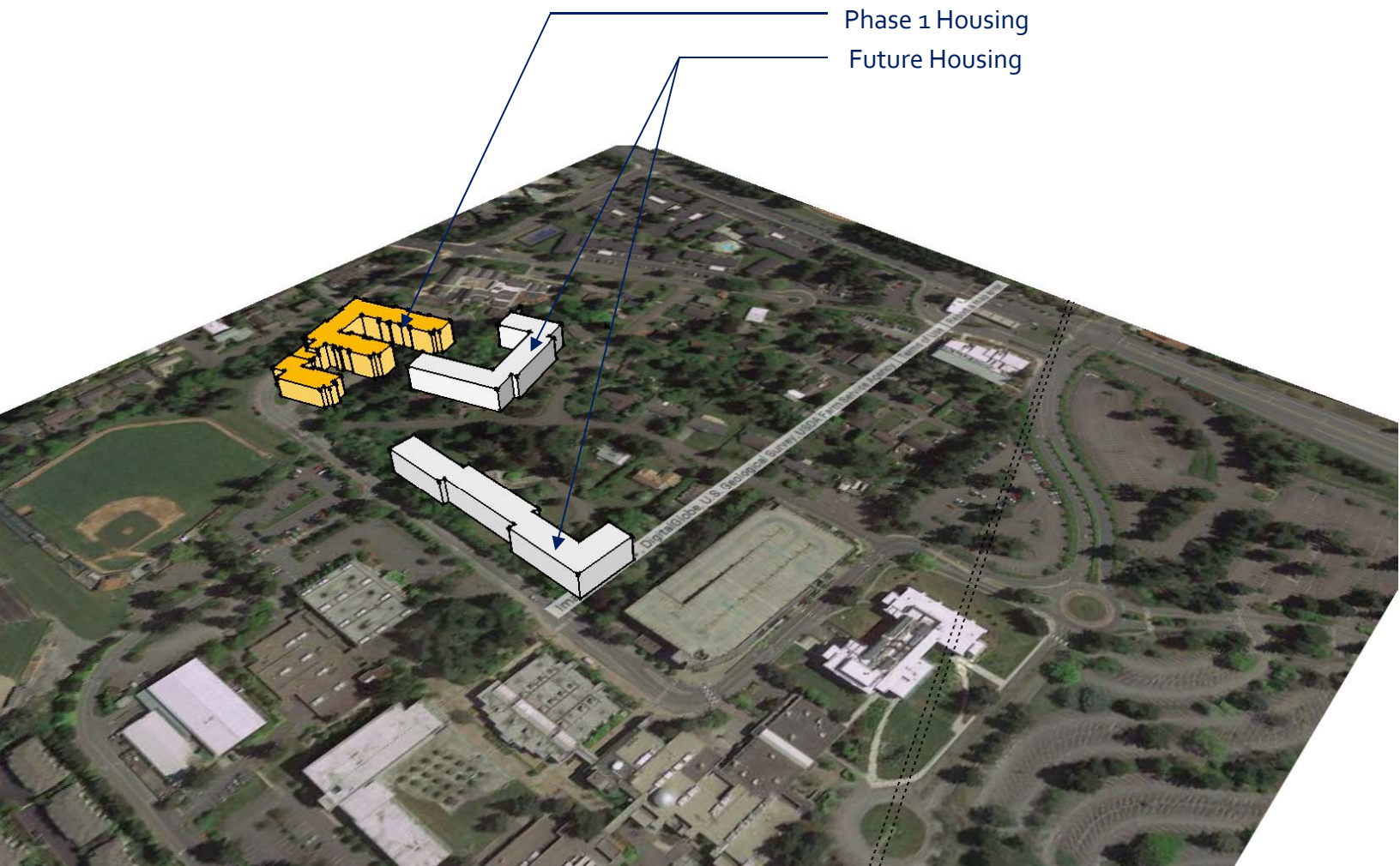
4 Level Residence Hall (Phase 1) – Typical Upper Residential Level

(See appendix for unit types and programming summary)



- common areas
- 4br/2ba corner unit
- 4br/2ba
- studio/private bath
- studio/shared bath
- utility

4 Level Residence Hall (Phase 1) – Building Massing



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4 level Apartment/Residence Hall assuming: LOWER RENTS & RESIDENTIAL PREVAILING WAGES

Proforma

Bellevue College
354 bed Apartment / Residence Hall

Project Summary

Design & Market Assumptions	
Housing	
Number of Beds	354
Average Unit Size (Sq.Ft.)	561
Average Rent per Bed. Singles	\$850
Average Rent per Bed. 4BR	\$750
Land Cost per Unit	\$0
Program Area	
Total Net Rentable Sq. Ft.	25,000
Average Rent per Sq. Ft. per Year	\$0.00
Parking	
Total Number of Spaces	54
Housing Parking Rent per Month	\$0
Sources & Uses of Funds	
Land Value	\$0
Project Costs	
Hard Costs	\$35,953,438
Soft Costs	\$7,499,834
Total Uses	\$43,453,272
Cost per bed	\$122,749
Sources of Funds	
Construction Loan	\$34,613,288
Historic Tax credits	\$0
Land Equity	\$0
Cash Equity	\$8,839,985
Total Sources	\$43,453,272
Project Return	20%
Yield on Cost	6%
Yield on Debt	6%
Cash Investor IRR	20%
Cash Investor Stabilized Cash on Cash (Avg year 1-5)	6%
Cash Investor Stabilized Cash on Cash (Year 7)	10%

Bellevue College Student Housing Feasibility Study

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4 level Apartment/Residence Hall assuming: LOWER RENTS & RESIDENTIAL PREVAILING WAGES

Bellevue College
354 bed Apartment / Residence Hall

Projected Development Costs & Cash Flows

		Project Budget
Land		
Land (purchase)		0
Land (interim lease payment)		0
Construction Costs		
Predevelopment costs		0
Sitework (Parking, Sidewalks, Landscape)		1,467,447
Foundation Costs		0
Building Construction Costs		28,345,173
Adjoining Bldg Demolition		0
Hazardous Materials & Abatement		0
Furniture, Fixtures & Equipment	3000	1,062,000
Design Contingency	0%	0
Security and signage		0
Tenant Improvements		0
Construction Contingency @	7.0%	2,086,883
Sales Tax @	9.5%	2,991,935
Subtotal Construction Costs		35,953,438
Soft Costs		
Pre-Development		100,000
Design Costs (Architect, Engineer, etc.)	6.5%	1,938,000
Design Reimbursables	0.20%	60,000
Specialty Consultants	1.00%	298,000
Construction Testing	0.40%	144,000
Water Meter & Installation	0.50%	180,000
Utility Hook-up / impact fees	0.75%	270,000
PM/ precon		0
Dev Management (Design/Construction)	2.00%	749,267
State & BC Project Management	2.50%	941,386
Permits	0.40%	144,000
Builders Risk Insurance	0.30%	108,000
Legal Fees	0.25%	90,000
Promotion and Leasing	0.00%	0
Real Estate Taxes		0
Loan Financing Costs		
Bank Costs - Counsel, Escrow, Title		20,000
Loan Fees - cost of issuance	2.00%	692,266
Interest During Construction	4.65%	961,966
Interest Reserve in Months	3	402,379
Income Offset		0
Bank Inspection		25,000
Reimbursables		40,000
Site Survey	0.08%	29,000
Traffic Study, Geo tech, Environmental	0.15%	54,000
Appraisal		15,000
Miscellaneous		15,000
Soft Cost Contingency	5.0%	222,569
Subtotal Soft Costs		7,499,834
Subtotal Uses of Funds		43,453,272
Cost per Bed	354	122,749
		260
Sources (Listed in Priority)		
Acquisition & Predevelopment Loan		3,201,606
Payoff Acq & Predev Loan		(3,201,606)
Land Equity		0
Historic Tax Credits		0
Cash Equity		8,839,985
Construction Loan		34,613,288
Subtotal Sources of Funds		43,453,272
Cumulative Sources of Funds		

Bellevue College Student Housing Feasibility Study

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4 level Apartment/Residence Hall assuming: HIGHER RENTS & RESIDENTIAL PREVAILING WAGES

Proforma

Bellevue College
354 bed Apartment / Residence Hall

Project Summary

Design & Market Assumptions	
Housing	
Number of Beds	354
Average Unit Size (Sq.Ft.)	561
Average Rent per Bed. Singles	\$1,000
Average Rent per Bed. 4BR	\$900
Land Cost per Unit	\$0
Program Area	
Total Net Rentable Sq. Ft.	25,000
Average Rent per Sq. Ft. per Year	\$0.00
Parking	
Total Number of Spaces	54
Housing Parking Rent per Month	\$0
Sources & Uses of Funds	
Land Value	\$0
Project Costs	
Hard Costs	\$35,953,438
Soft Costs	\$8,324,103
Total Uses	\$44,277,541
Cost per bed	\$125,078
Sources of Funds	
Construction Loan	\$43,651,464
Historic Tax credits	\$0
Land Equity	\$0
Cash Equity	\$626,076
Total Sources	\$44,277,541
Project Return	68%
Yield on Cost	7%
Yield on Debt	6%
Cash Investor IRR	68%
Cash Investor Stabilized Cash on Cash (Avg year 1-5)	107%
Cash Investor Stabilized Cash on Cash (Year 7)	174%

Bellevue College Student Housing Feasibility Study

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4 level Apartment/Residence Hall assuming: HIGHER RENTS & RESIDENTIAL PREVAILING WAGES

Bellevue College
354 bed Apartment / Residence Hall

Projected Development Costs & Cash Flows

		Project Budget
Land		
Land (purchase)		0
Land (interim lease payment)		0
Construction Costs		
Predevelopment costs		0
Sitework (Parking, Sidewalks, Landscape)		1,467,447
Foundation Costs		0
Building Construction Costs		28,345,173
Adjoining Bldg Demolition		0
Hazardous Materials & Abatement		0
Furniture, Fixtures & Equipment	3000	1,062,000
Design Contingency	0%	0
Security and signage		0
Tenant Improvements		0
Construction Contingency @	7.0%	2,086,883
Sales Tax @	9.5%	2,991,935
Subtotal Construction Costs		35,953,438
Soft Costs		
Pre-Development		100,000
Design Costs (Architect, Engineer, etc.)	6.5%	1,938,000
Design Reimbursables	0.20%	60,000
Specialty Consultants	1.00%	298,000
Construction Testing	0.40%	144,000
Water Meter & Installation	0.50%	180,000
Utility Hook-up / impact fees	0.75%	270,000
PM/ precon		0
Dev Management (Design/Construction)	2.00%	749,267
State & BC Project Management	2.50%	941,386
Permits	0.40%	144,000
Builders Risk Insurance	0.30%	108,000
Legal Fees	0.25%	90,000
Promotion and Leasing	0.00%	0
Real Estate Taxes		0
Loan Financing Costs		
Bank Costs - Counsel, Escrow, Title		20,000
Loan Fees - cost of issuance	2.00%	873,029
Interest During Construction	4.65%	1,500,402
Interest Reserve in Months	3	507,448
Income Offset		0
Bank Inspection		25,000
Reimbursables		40,000
Site Survey	0.08%	29,000
Traffic Study, Geo tech, Environmental	0.15%	54,000
Appraisal		15,000
Miscellaneous		15,000
Soft Cost Contingency	5.0%	222,569
Subtotal Soft Costs		8,324,103
Subtotal Uses of Funds		44,277,541
Cost per Bed	354	125,078
		265
Sources (Listed in Priority)		
Acquisition & Predevelopment Loan		3,201,606
Payoff Acq & Predev Loan		(3,201,606)
Land Equity		0
Historic Tax Credits		0
Cash Equity		626,076
Construction Loan		43,651,464
Subtotal Sources of Funds		44,277,541
Cumulative Sources of Funds		

Bellevue College Student Housing Feasibility Study

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Utilizing the July 2010 Bellevue College Master Plan and site walks, three siting options were selected as potential locations for the phased 1000 bed campus housing complex.

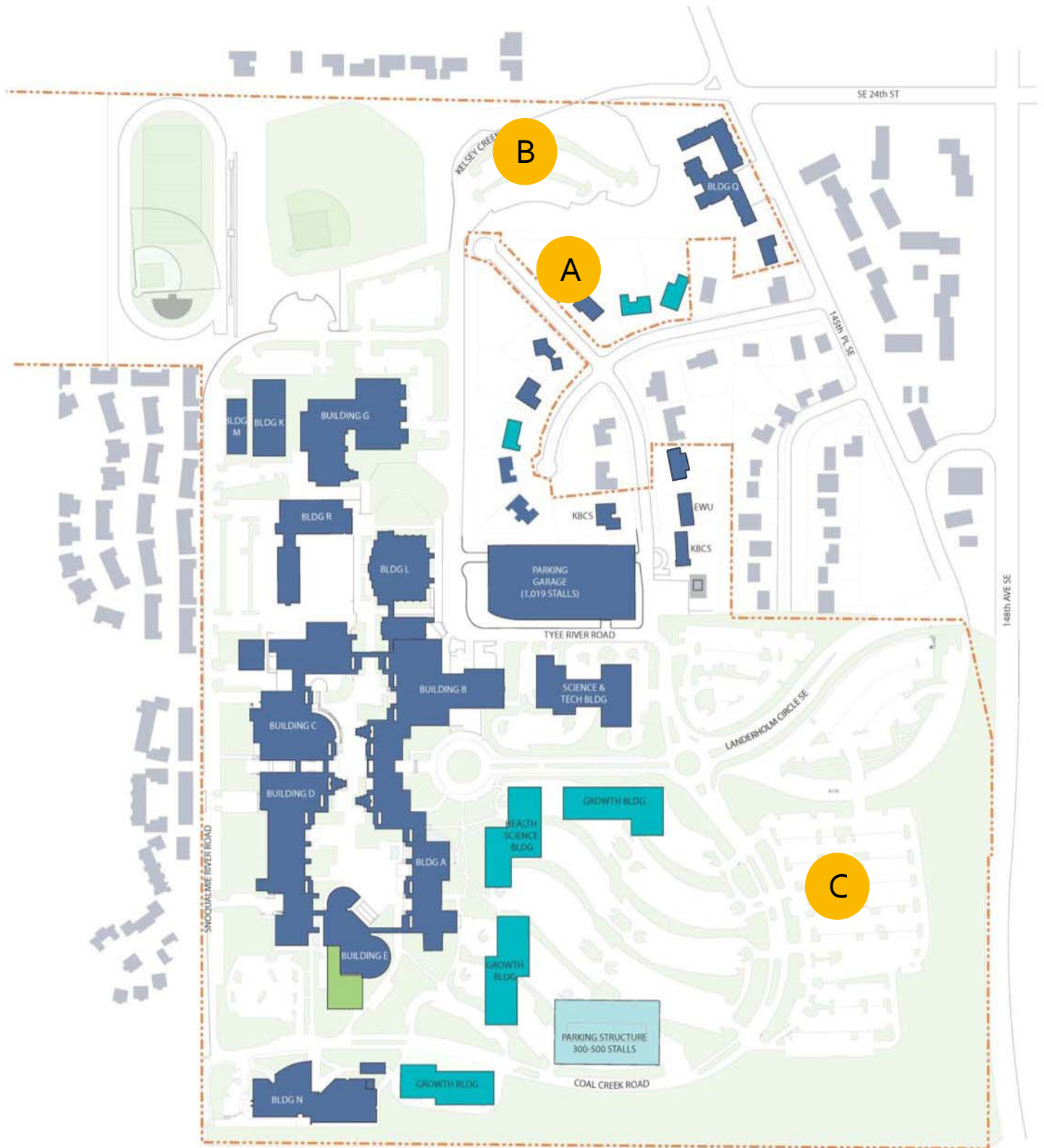
The options were presented to Bellevue College at a 9-29-2014 Progress Meeting, and the following determinations were made:

- Site Option B should be further studied in the due diligence and planning effort
- Phase 1 was to be fully located on campus property outside the acquired Sunset Ranch parcels since there are ongoing discussions regarding land use requirements for Sunset Ranch parcels owned by the College.
- Future phases could be located on Sunset Ranch parcels.
- Maximum height to be 5 levels

The proposed 9-29-2014 siting options and development summaries are on the following pages.

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BELLEVUE COMMUNITY COLLEGE CONCEPT PLAN

SCALE: 1" = 100'-0"

0 100' 200'

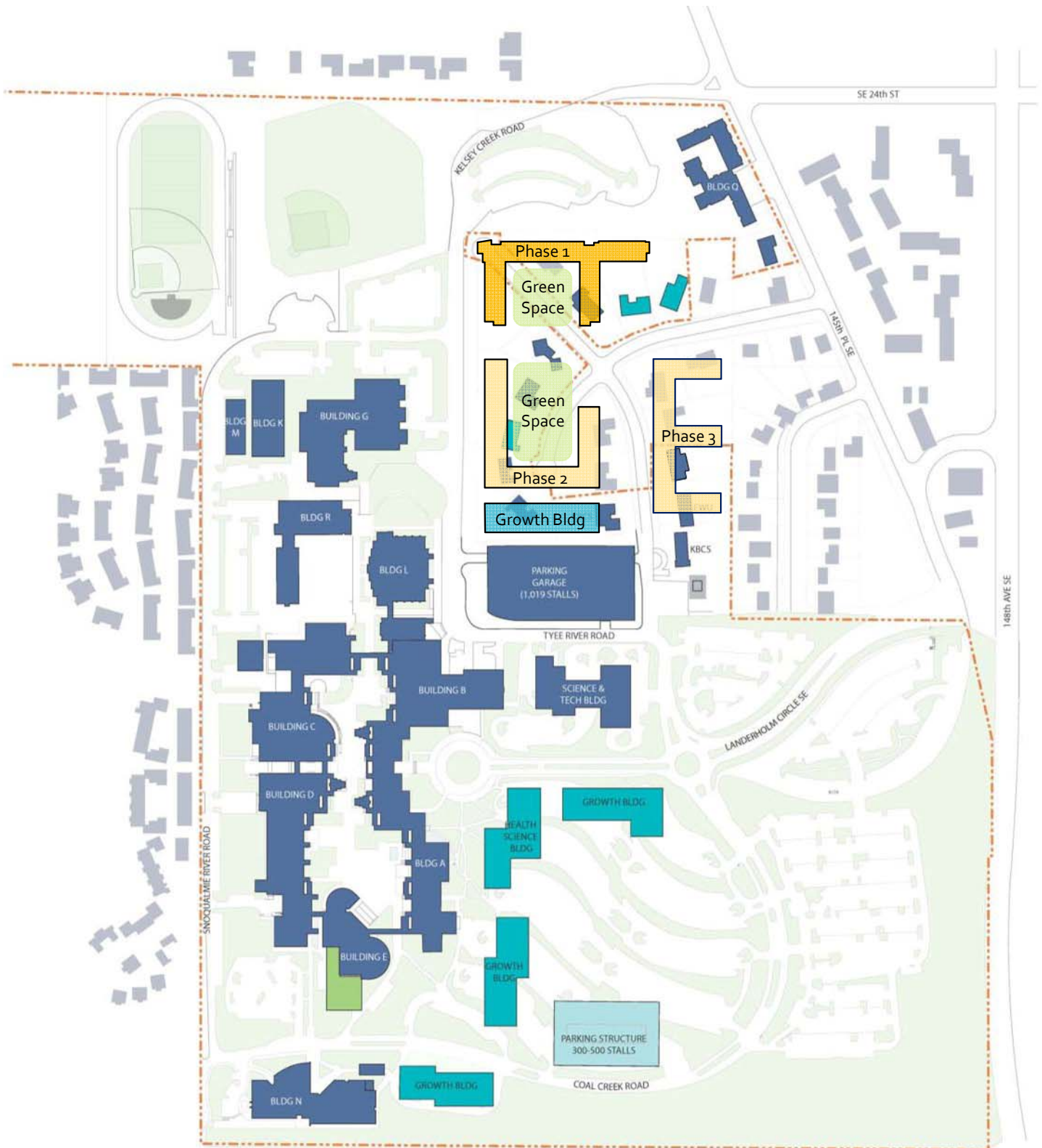
NORTH ▲

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- EXISTING BUILDINGS
- PLANNED ADDITIONS
- PLANNED BUILDINGS
- PLANNED STRUCTURED PARKING
- NON-BCC STRUCTURES

Bellevue College Student Housing Feasibility Study

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BELLEVUE COMMUNITY COLLEGE CONCEPT PLAN

SCALE: 1" = 100'-0"

0 100' 200'

NORTH ▲

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- EXISTING BUILDINGS
- PLANNED ADDITIONS
- PLANNED BUILDINGS
- PLANNED STRUCTURED PARKING
- NON-BCC STRUCTURES

Bellevue College Student Housing Feasibility Study

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Site A Development Option Summary:

Proposed Phase 1 Building Shown:

Footprint: 40,468 sf

Total SF: 161,872 sf

Height: 40'-50' (4 floors)

Construction: 4 levels of wood frame wrapping concrete construction for large span areas on the ground level

Beds: 350 leasable (does not include RD and lecturer apartments on the first level)

Pros:

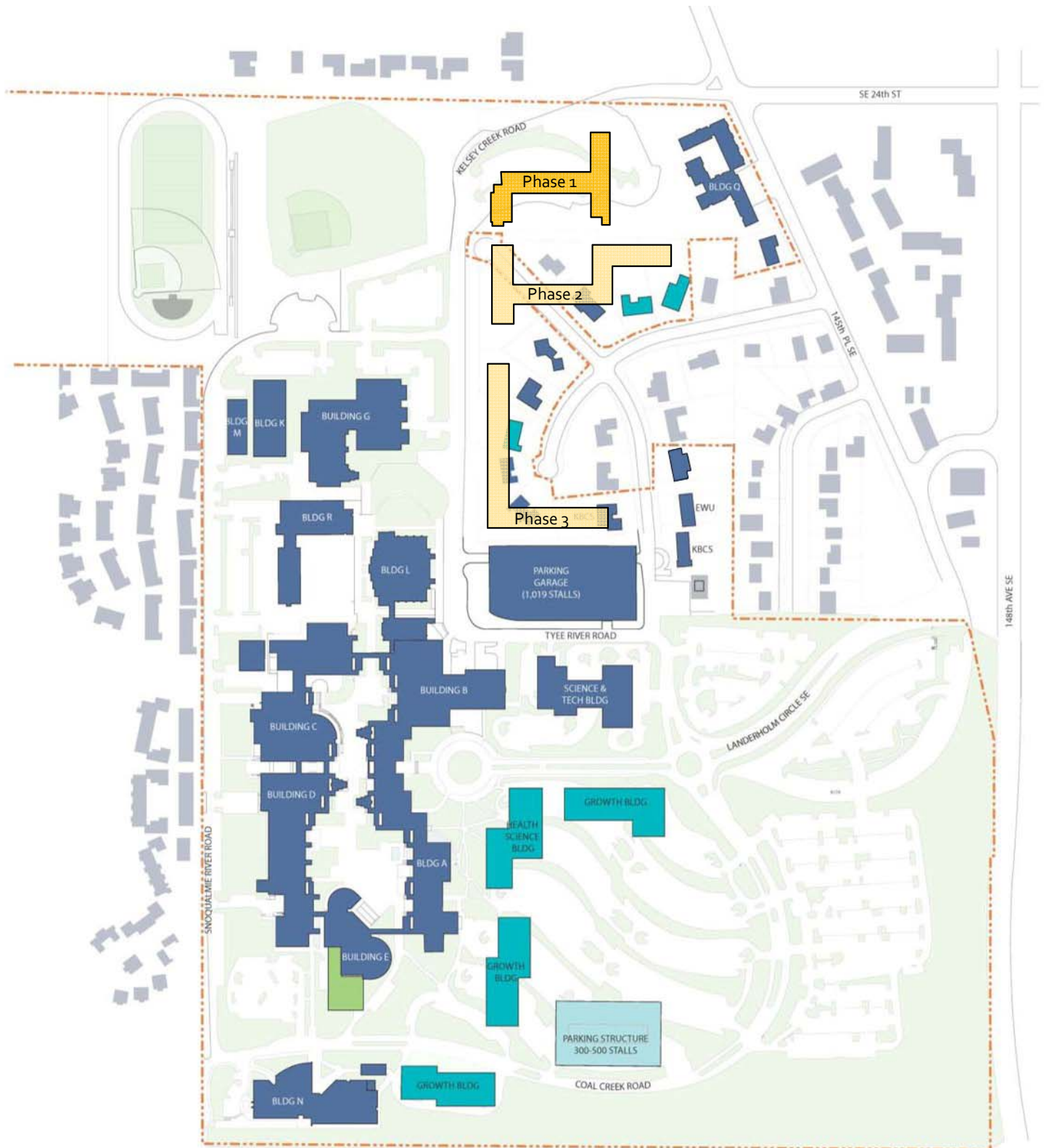
- Close Proximity to Playfields
- Close proximity to the academic core
- Achieves 350 beds in 4 floors
- Height in keeping with other existing structures on campus
- Lower height is more appealing to neighboring single family uses to the north and east
- Residential prevailing wages could potentially be utilized rather than commercial prevailing wages for a 4 level structure (assuming no commercial functions in the building)
- Provides for a campus green adjacent to Phase 1 building, and continuation of the green in future phases
- Works with existing site topography
- Views to the west
- Good access to natural light from all spaces
- Existing parking facilities located nearby
- Good proximity to existing power and telecommunications utilities manhole system
- Good proximity to existing transit routing
- Good proximity to existing water main line
- Works with BC Master Plan 2008-2018 Preferred Concept Plan for Campus Growth

Challenges:

- Purchase of additional properties required to achieve future phase build-out
- Distance to existing campus dining facilities
- Confirmation from City of Bellevue that Land Use exemptions apply to newly acquired properties
- Street vacation required
- Installation of new sanitary sewer possibly required
- Lower height leads to larger footprint
- Existing stands of large trees would need to be removed

Bellevue College Student Housing Feasibility Study

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BELLEVUE COMMUNITY COLLEGE CONCEPT PLAN

SCALE: 1" = 100'-0"

0 100' 200'

NORTH ▲

revised 03.24.08

- EXISTING BUILDINGS
- PLANNED ADDITIONS
- PLANNED BUILDINGS
- PLANNED STRUCTURED PARKING
- NON-BCC STRUCTURES

Bellevue College Student Housing Feasibility Study

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Site B Development Option Summary:

Proposed Phase 1 Building Shown:

Footprint: 29,755 sf

Total SF: 178,530 sf

Height: 65'-70' (6 floors)

Construction: 5 levels of wood frame over 1 level of concrete

Beds: 350 leasable (does not include RD and lecturer apartments on the first level)

Pros:

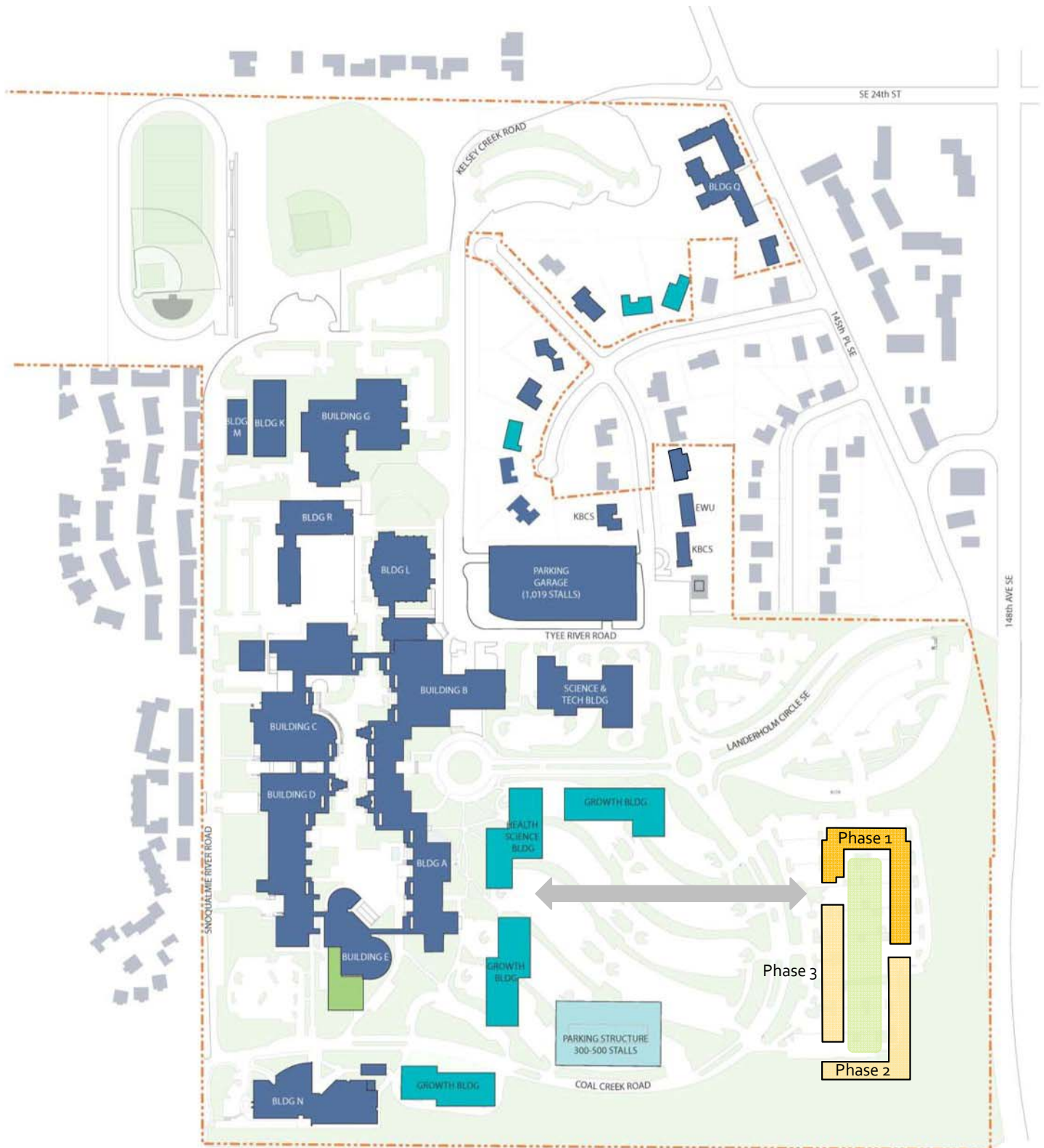
- Close Proximity to Playfields
- Final build-out of all phases has good proximity to academic core
- Provides for a campus green open space adjacent to Phase 1 building, and continuation of the green in future phases
- Works with existing site topography
- Views to the west from all floors, views to the south from upper floors, views to the north from upper floors
- Good access to natural light from all spaces
- Good proximity to existing power and telecommunications utilities manhole system
- Good proximity to existing transit routing
- Good proximity to existing water main line
- Works with BC Master Plan 2008-2018 Preferred Concept Plan for Campus Growth
- All required properties currently owned by Bellevue College

Challenges:

- Displaces existing surface parking lots
- May require replacement parking lot concurrent with Phase 1
- Distance to existing campus dining facilities
- Confirmation from City of Bellevue that Land Use exemptions apply to newly acquired properties for future phases
- Street vacation required for future phases
- Installation of new sanitary sewer possibly required
- Height exceeds current campus structures
- Height would likely be a concern for neighboring single family properties to the north and east
- Existing stands of large trees would need to be removed

Bellevue College Student Housing Feasibility Study

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BELLEVUE COMMUNITY COLLEGE CONCEPT PLAN

SCALE: 1" = 100'-0"

0 100' 200'



revised 03.24.08

- EXISTING BUILDINGS
- PLANNED ADDITIONS
- PLANNED BUILDINGS
- PLANNED STRUCTURED PARKING
- NON-BCC STRUCTURES

Bellevue College Student Housing Feasibility Study

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Site C Development Option Summary:

Proposed Phase 1 Building Shown:

Footprint: 28,972 sf

Total SF: 173,832 sf

Height: 65'-70' (6 floors)

Construction: 5 levels of wood frame over 1 level of concrete

Beds: 350 leasable (does not include RD and lecturer apartments on the first level)

Pros:

- Close Proximity to Playfields
- Provides for a campus green open space adjacent to Phase 1 building, and continuation of the green in future phases
- Works with existing site topography
- Good opportunities for views in all directions from upper floors
- Good access to natural light from all spaces
- Good proximity to existing main water line
- Works with BC Master Plan 2008-2018 Preferred Concept Plan for Campus Growth and future academic building expansion to the east on the south end of campus
- All required properties currently owned by Bellevue College

Challenges:

- Displaces existing surface parking lots
- Impacts to existing storm sewer main line
- Requires replacement parking lot or underground parking concurrent with Phase 1
- Distance to existing campus dining facilities
- Distance to existing academic core
- Distance to existing playfields
- Proximity to existing/proposed power and telecommunications utilities manhole system
- Proximity to 148th Ave NE could cause noise concerns
- Revisions required to transit routing
- Installation of new sanitary sewer required
- Height exceeds current campus structures by several floors
- Existing stands of large trees would need to be removed

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Due Diligence

Site Option B was selected to be the most advantageous due to its proximity to existing campus amenities and community services as well as its land use readiness in regards to Phase 1. A more rigorous level of Due Diligence was undertaken for the specific site area on campus. A variety of existing studies and reports provided by the College were reviewed as well as additional technical investigations where not enough current information existed, such as wet utility capacity.

The following documents were reviewed and/or prepared for this study:

- Bellevue College Master Plan September 2008 revised September 2010 (LMN)
- Bellevue College Parking Management Analysis Final Report January 2011 (Nelson/Nygard Consulting)
- Bellevue College Transportation Planning Study July 2011 (Stemper Architects)
- Bellevue College – New Student Housing Wet Utility Feasibility Review Dec 2014 (Sitewise Design PLLC)

Land Use/Zoning

The land occupied by Site Option B is zoned R-5 (Residential, 5 units per acre) by the City of Bellevue. As the Master Plan notes, "despite this single-family residential land use designation, a letter of understanding between the City of Bellevue and the College allows the prevailing institutional development of the site to continue, by exempting the College from City land use restrictions."

Spectrum Development Solutions initiated a meeting between the City of Bellevue and Bellevue College on October 29, 2014 to discuss the Housing Feasibility Study being done and to discuss a framework for public and City engagement for future Bellevue College Development. This engagement is critical as the College continues to acquire properties at its edges that abut existing established neighborhoods, such as the Sunset Ranch parcels. The College's understanding is that the 1985 Agreement would apply to newly purchased properties as well. Spectrum Development Solutions recommends that a Land Use Attorney be consulted to determine if there is a strong case for this. The current Phase 1 building sits fully on campus property that falls within the 1985 Agreement, but future phases are on acquired parcels within Sunset Ranch and the question of applicable land use and zoning requirements requires additional confirmation.

A street vacation for the portion of 145th Ave SE surrounded by campus property will likely be necessary for the build-out of future phases.

Parking & Traffic

Development of Phase 1 on an existing surface parking lot will displace approximately 178 parking stalls. Per the 2011 Bellevue College Parking Management Analysis, there are over 500 vacant parking spaces on campus during peak hours. The report also notes that parking space demand is anticipated to remain the same through 2018. The new Health Sciences building currently under construction will remove 158 stalls. The development options shown in this study will require the loss of an additional 178 stalls. Even with these losses, 164 vacant stalls would exist on campus during peak parking hours. If the College increases the cost to park on campus the demand for parking will decrease as transit use increases thereby freeing up additional land for campus development.

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Due Diligence (continued)

Per the direction of Bellevue College, the development budgets developed for this study assume mitigation of 50 parking spaces. General discussions with the College have indicated this mitigated parking could possibly occur in the acquired Sunset Ranch parcels, but it should be noted that these would likely need to be removed for any future phases of campus housing as proposed by this study.

Replacement of displaced parking may not be required if the College were to increase paid parking fees. Per the Parking Management Analysis, this would decrease the demand for campus parking by 750 stalls. The Zoning Code for the City of Bellevue does not specifically address parking requirements for an institution such as BC, but the campus currently provides parking at a rate of one stall per 158 assignable square feet of classroom and office space (per the Master Plan).

The 2011 Transportation Planning Study indicates that 77% of students currently drive to campus. It also notes specific to proposed housing that "housing tenants are anticipated to be primarily international students; students opting to use live on-site housing will likely have limited access to personal vehicles and will likely rely on public transit". The Study notes that the intersection of Kelsey Creek Road and Snoqualmie River Road need realignment to eliminate two right angled turns to improve traffic flow for transit and private vehicles. Per our conversations with the City of Bellevue and the College it is anticipated this work would realign Snoqualmie River Road so that it intersects Kelsey Creek Road at the SW corner of Phase 1.

Topography/Landscape

The Site Option B Phase 1 site is an existing sloped surface parking lot. Topography increases approximately 20'-0" in the building footprints as you move from west to east. The development budgets include excavation required to construct the proposed structures, as well as the associated basement areas created by building into the slope.

Per the Master Plan, the natural features of the site include "moderate stands of second growth douglas fir and western red cedar with native understory of salal and oregon grape. These stands can be found throughout the surface parking areas." A tree survey is needed and the grading plan should include tree preservation where possible.

Environmental

No Environmental information was available for review for this report, but it is anticipated that existing environmental information created for the Parking Garage and Life Sciences Building could give a reliable assumption for what is to be expected on this site. Per the Master Plan, "Soil types on campus consist of primarily Alderwood which is a gravelly sandy loam. This soil is moderately well drained but is underlain by consolidated glacial till at depth of 24-40 inches." It is recommended that a Geotechnical Report and Environmental Assessment be completed at the onset of any design work related to student housing.

Bellevue College Student Housing Feasibility Study

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Due Diligence (continued)

Wet Utility Public Infrastructure:

Sitewise Design PLLC was contracted to provide a wet utility feasibility review assuming development of site option B with phased construction of three buildings each having approximately 350 beds. A five story building with 4 levels of wood frame Type VA construction over 1 level of concrete type 1A was assumed conservatively since it would require the most capacity of options being considered. Typical floor plates were assumed to be 35,000-40,000 sf, and the buildings are to be fully sprinklered. The wet utility feasibility review is attached as Appendix 8. In discussions with the City, it was confirmed that the proposed residence halls would be allowed to obtain wet utility services from the surrounding public infrastructure or from the College owned wet utilities.

Storm Drainage:

The project study area appears to have access to both City of Bellevue public storm drain facilities and the College storm drain system based on City of Bellevue GIS data. The portion of the College system accessible to the project area is located in Kelsey Creek Road and consists of 10" pipe. It is anticipated the project will need to provide flow control mitigation for the proposed improvements. It appears the portion of the College storm drain system in Kelsey Creek Road would have the necessary capacity for Phase 1. It appears Phase 2 and Phase 3 would need to extend the College system to serve those facilities. Reference the wet utility feasibility review in Appendix 8 for additional information.

Sanitary Sewer:

The project study area appears to have access to City of Bellevue public sanitary sewer facilities based on City of Bellevue GIS data. The portion of the City system accessible to the project appears to have sufficient capacity and proximity to serve Phase 1. If Phases 2 and 3 were to be served by the City system, it is anticipated that a public main extension would be necessary. An extension could also be utilized for Phases 2 and 3 to the College sewer system. Reference the wet utility feasibility review in appendix 8 for additional information.

Domestic Water and Fire Protection:

The project area appears to have access to City of Bellevue public water facilities based on City of Bellevue GIS data. Based on information in the College Master Plan, the project area also has access to the College water system. The College system is entirely metered, and provisions of fire flows and sprinkler service from that system is not anticipated. It is anticipated that sufficient capacity exists in the City system to provide domestic water service to the proposed buildings. It appears that all three phases of the project would have access for domestic connection to the College water system, but the Master Plan does not provide enough detail to determine the feasibility of connection to that system from a capacity standpoint. Domestic booster pumps are anticipated to be required to provide required delivery pressures. It is anticipated that water supply for fire hydrants and sprinkler systems will be provided by the City mains. Due to the low static pressure in the project area and the lack of mains in the southern project area, the budgets assume a new public water main extension from 148th Ave SE that is approximately 1000 feet in length. Existing water mains under 145th Avenue SE would likely prohibit future building footprints to span the existing roadway even with a street vacation. Reference the wet utility feasibility review in Appendix 8 for additional information.

Bellevue College Student Housing Feasibility Study

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Due Diligence (continued)

Data:

Per the Master Plan, the server farm supporting services to students is currently located in the A building. "All service is currently provided via hard wire fiber optic connections. Capacity onto and from the campus is operating at about 36% of total capacity (10 lines of a total potential of 28)....Service to the campus and distribution within the campus is underground. Wireless systems are currently being used in some buildings and future expansion throughout the Campus is envisioned.

Figure 3.13 of the Master Plan indicates that the data manhole system is adjacent to the site and runs along Kelsey Creek Road.

Power:

Per the Master Plan, Campus Power utilization is currently at about 33% of the total capacity entering the College. "Typically each building is fed by a 1500kV line. This has proven to be adequate supply.....Each of the buildings has a pad mounted switch and transformer to building voltage."

Figure 3.13 of the Master Plan indicates the power manhole system runs adjacent to the Site Option B in Kelsey Creek Road.

Telecommunications:

Per the Master Plan, telephone service is provided via new underground conduit vaults with a copper wire system installed in 2004. Recent upgrades to the system have included the introduction of fiber optic cables and the removal of above ground segments. "Current demand is being maginally met".

Bellevue College Student Housing Feasibility Study

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Financing Assumptions

Spectrum Development Solutions met with representatives from Bellevue College on 10.24.2014 and confirmed the following assumptions regarding the Financing for the Phase 1 Residence Hall. These assumptions are used in Project Development Summaries and Cash Flow Analyses that follow for a 4 level Residence Hall model and 5 level Residence Hall model studied for Phase I.

Assumptions:

- 4.65% State Treasury Interest Rate
- 30 year fixed rate bond
- Approximately 350 beds – all apartment style (sample unit types in Appendix 6)
- 4BR suite (60% minimum of unit mix) rent of \$750 per bed (lower rent) or \$900 per bed (higher rent)
- Studio/Private Bath rent of \$950 (lower rent) or \$1100 (higher rent)
- Studio/Shared Bath rent of \$850 (lower rent) or \$1000 (higher rent)
- Assumed rents determined after reviewing Market Research (Appendix 3) and the Student Housing Rent Comparison (Appendix 7)
- Utility costs are assumed rents
- Assuming \$3000 per bed for furnishings (amount covers lounge spaces as well)
- State and Bellevue College PM soft costs at 2.5%
- Rent escalation of 3% per year
- 7% annualized vacancy rate assumes 12 month leases with student option to sublet. NOTE that if a higher vacancy rate is assumed cash flow will not be as strong.
- Mitigation of 50 parking spaces

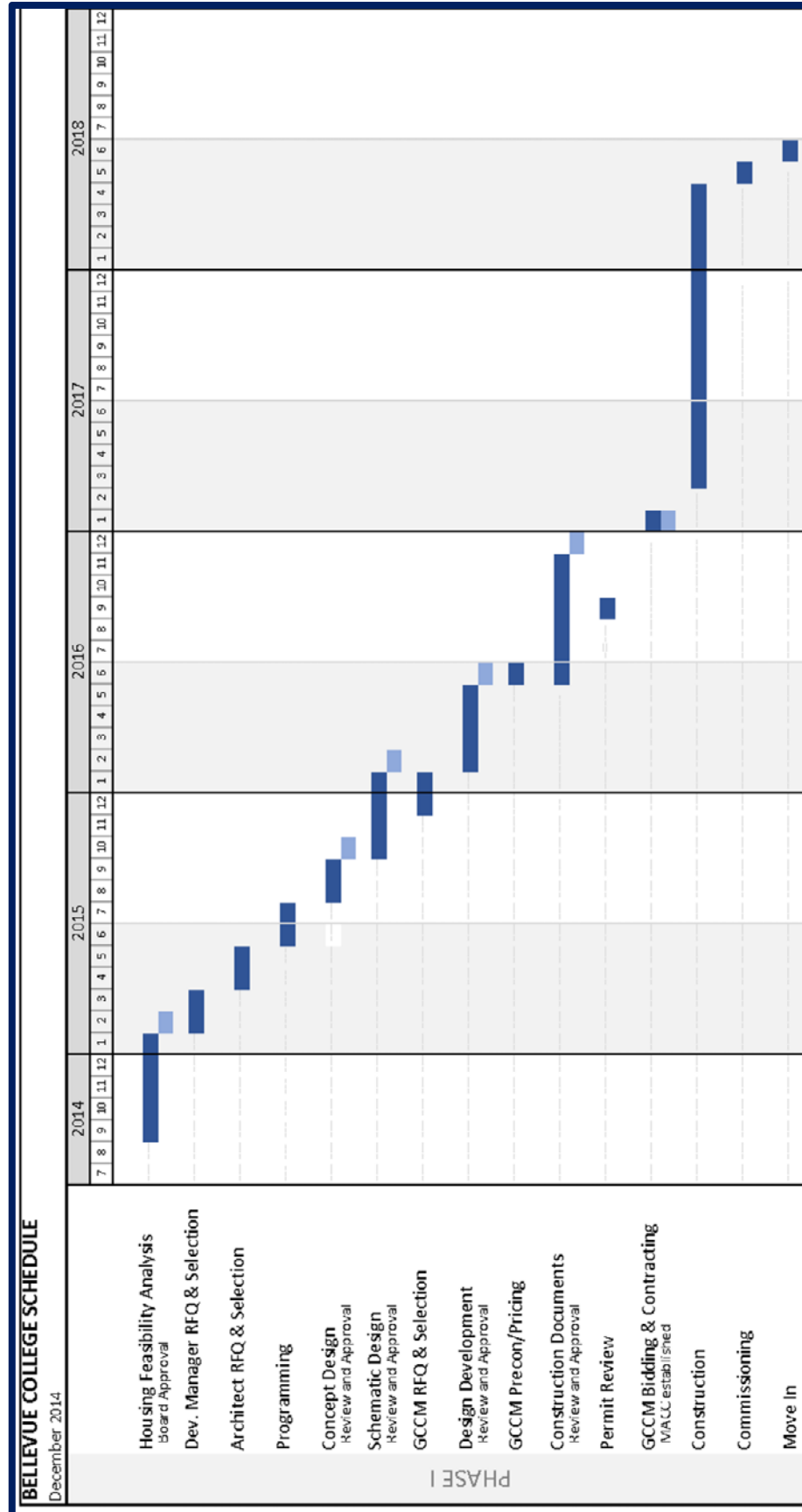
Design Assumptions

Per discussions with Bellevue College, the following design assumptions were made for design and financial studies of the Phase 1 building:

- 4 or 5 levels maximum
- Approximately 350 beds for students
- Unit mix consisting of 4BR/2ba, studio/private bath & studio/shared bath
- (2) 2BR/1ba units for visiting lecturers
- (1) 2BR/1ba unit for Resident Hall Director
- RD office/counseling space on the ground level
- (1) study lounge and (1) general lounge on each residential level
- Larger main building lounge on the ground level
- Shared Kitchen on the ground level adjacent to the main building lounge
- (1) 20 person meeting room on the ground level
- Some parking must remain for the existing Child Care Center (29 spaces left in these designs)
- Exterior building materials assumed to be a mix of brick, hardie-type panel and metal panel
- Exterior windows at apartments will be vinyl
- LEED Silver required (LEED Gold possible)

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Next Steps

We recommend the following activities occur after Bellevue College approval of a Residence Hall design and construction project:

- Begin Development Manager and Architect Selection process in February 2015 to allow for completion of Phase 1 by Summer 2018
- Bellevue College to determine construction delivery method (GCCM assumed for Master Development Schedule)
- Continue coordination with the City of Bellevue to understand road revisions planned for the Campus in the vicinity of the proposed campus housing
- Tree Survey of project area to provide to design team
- Topographic survey of project area to provide to design team
- Geotechnical Report of project area to provide to the design team
- Environmental Assessment of project area to provide to the design team
- Continued coordination with the City of Bellevue for a MOU related land use "rules" at campus edges
- Have a Land Use Attorney review the 1985 Land Use Agreement between City of Bellevue and Bellevue College to confirm it is applicable to properties acquired since that time
- Consult a Land Use Attorney regarding if Bellevue College should be required to pay for any requested street vacations such as 145th Ave SE
- Submit a Predevelopment Services Application with the City of Bellevue and have a more thorough assessment of capacity and connection requirements for the project area done by the City
- Request a hydrant flow test for the project area

Bellevue College Student Housing Feasibility Study

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APPENDIX

1. 4 level Residence Hall (Commercial Prevailing Wage)
 - Project Development Summary
 - Cash Flow summary
2. 5 level Residence Hall (Commercial Prevailing Wage)
 - Site Plan
 - Typical Residential Floor Plan
 - Massing
 - Project Development Summary
 - Cash Flow Summary
3. Market Research by Spectrum Development Solutions LLC
4. Student Housing Rent Comparison
5. Programming Assumptions – 4 floor Residence Hall
6. Programming Assumptions – 5 floor Residence Hall
7. Unit Types
8. Wet Utility Feasibility Review by Sitewise Design PLLC

Bellevue College Student Housing Feasibility Study

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4 level Apartment/Residence Hall assuming: LOWER RENTS & COMMERCIAL PREVAILING WAGES

Proforma

Bellevue College
354 bed Apartment / Residence Hall

Project Summary

Design & Market Assumptions	
Housing	
Number of Beds	354
Average Unit Size (Sq.Ft.)	561
Average Rent per Bed. Singles	\$850
Average Rent per Bed. 4BR	\$750
Land Cost per Unit	\$0
Program Area	
Total Net Rentable Sq. Ft.	25,000
Average Rent per Sq. Ft. per Year	\$0.00
Parking	
Total Number of Spaces	4
Housing Parking Rent per Month	\$0
Sources & Uses of Funds	
Land Value	\$0
Project Costs	
Hard Costs	\$39,199,315
Soft Costs	\$7,878,730
Total Uses	\$47,078,045
Cost per bed	\$132,989
Sources of Funds	
Construction Loan	\$34,128,450
Historic Tax credits	\$0
Land Equity	\$0
Cash Equity	\$12,949,595
Total Sources	\$47,078,045
Project Return	16%
Yield on Cost	5%
Yield on Debt	6%
Cash Investor IRR	16%
Cash Investor Stabilized Cash on Cash (Avg year 1-5)	3%
Cash Investor Stabilized Cash on Cash (Year 7)	6%

Bellevue College Student Housing Feasibility Study

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4 level Apartment/Residence Hall assuming: LOWER RENTS & COMMERCIAL PREVAILING WAGE

Bellevue College
354 bed Apartment / Residence Hall

Projected Development Costs & Cash Flows

		Project Budget
Land		
Land (purchase)		0
Land (interim lease payment)		0
Construction Costs		
Predevelopment costs		0
Sitework (Parking, Sidewalks, Landscape)	1,444,178	
Foundation Costs		0
Building Construction Costs	31,136,901	
Adjoining Bldg Demolition		0
Hazardous Materials & Abatement		0
Furniture, Fixtures & Equipment	3000	1,062,000
Design Contingency	0%	0
Security and signage		0
Tenant Improvements		0
Construction Contingency @	7.0%	2,280,676
Sales Tax @	9.5%	3,275,560
Subtotal Construction Costs		39,199,315
Soft Costs		
Pre-Development		100,000
Design Costs (Architect, Engineer, etc.)	6.5%	2,118,000
Design Reimbursables	0.20%	65,000
Specialty Consultants	1.00%	326,000
Construction Testing	0.40%	157,000
Water Meter & Installation	0.50%	196,000
Utility Hook-up / impact fees	0.75%	294,000
PM/ precon		0
Dev Management (Design/Construction)	1.75%	714,299
State & BC Project Management	2.50%	1,028,276
Permits	0.40%	157,000
Builders Risk Insurance	0.30%	118,000
Legal Fees	0.50%	196,000
Promotion and Leasing	0.00%	0
Real Estate Taxes		0
Loan Financing Costs		
Bank Costs - Counsel, Escrow, Title		20,000
Loan Fees - cost of issuance	2.00%	682,569
Interest During Construction	4.65%	877,829
Interest Reserve in Months	3	396,743
Income Offset		0
Bank Inspection		25,000
Reimbursables		40,000
Site Survey	0.08%	31,000
Traffic Study, Geo tech, Environmental	0.15%	59,000
Appraisal		15,000
Miscellaneous		15,000
Soft Cost Contingency	5.0%	247,014
Subtotal Soft Costs		7,878,730
Subtotal Uses of Funds		47,078,045
Cost per Bed	354	132,989
		281
Sources (Listed in Priority)		
Acquisition & Predevelopment Loan		3,199,362
Payoff Acq & Predev Loan		(3,199,362)
Land Equity		0
Historic Tax Credits		0
Cash Equity		12,949,595
Construction Loan		34,128,450
Subtotal Sources of Funds		47,078,045
Cumulative Sources of Funds		

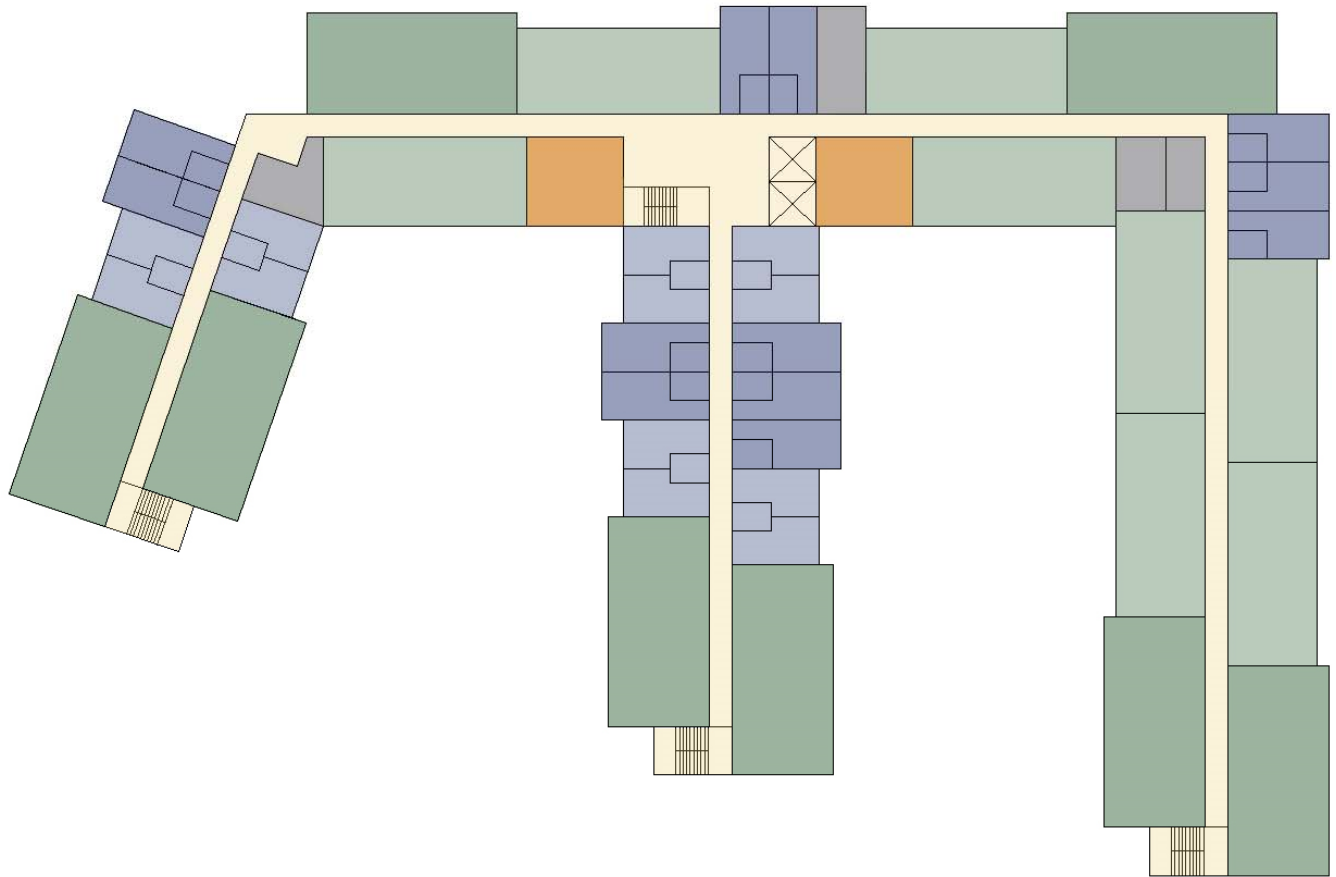
Bellevue College Student Housing Feasibility Study

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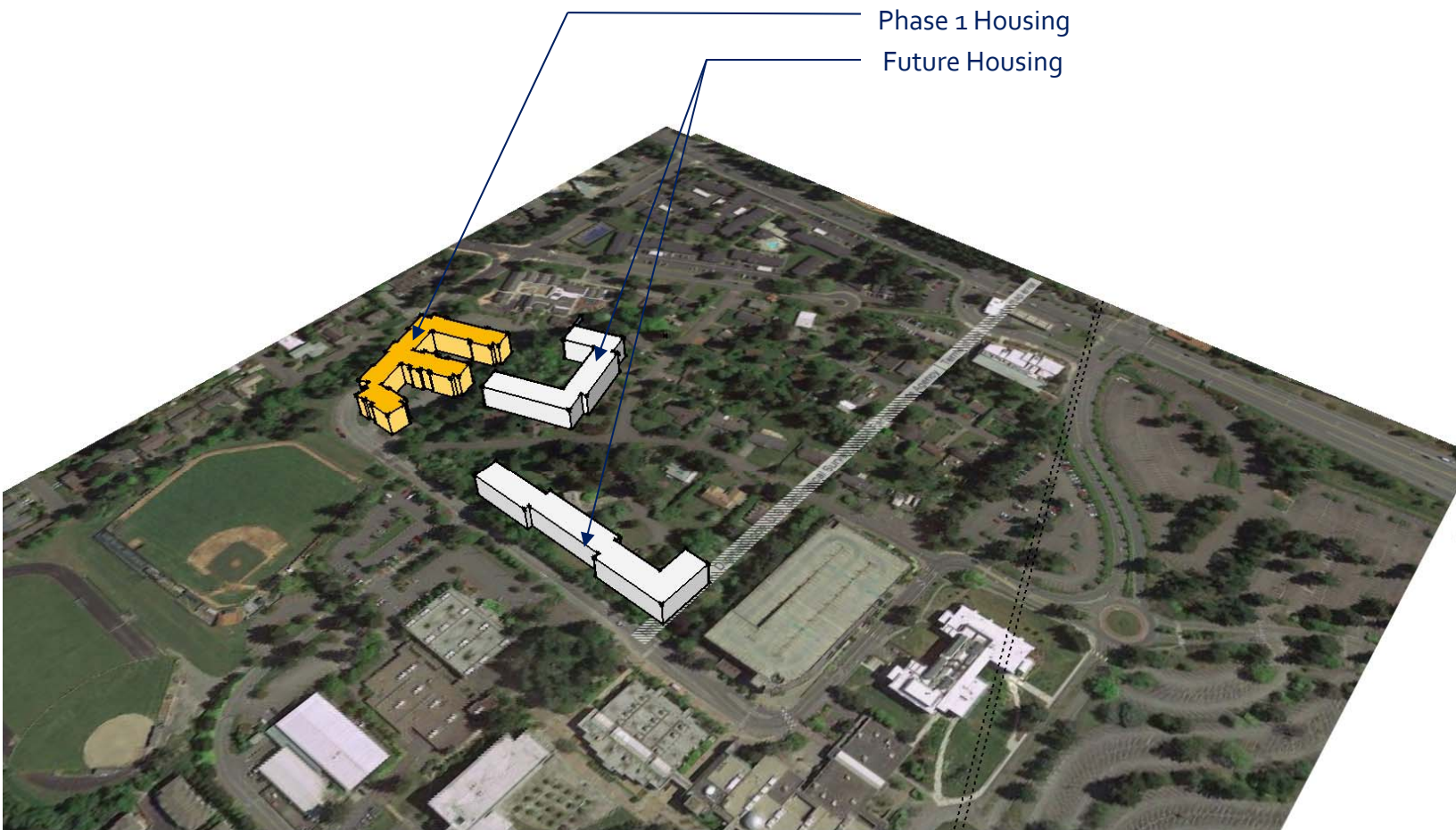
5 Level Residence Hall (Phase 1) – Typical Upper Residential Level

(See appendix for unit types and programming summary)



- common areas
- 4br/2ba corner unit
- 4br/2ba
- studio/private bath
- studio/shared bath
- utility

5 Level Residence Hall (Phase 1) – Building Massing



Bellevue College Student Housing Feasibility Study

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5 level Apartment/Residence Hall assuming: LOWER RENTS & COMMERCIAL PREVAILING WAGE

Proforma

Bellevue College
371 bed Apartment / Residence Hall

Project Summary

Design & Market Assumptions	
Housing	
Number of Beds	371
Average Unit Size (Sq.Ft.)	592
Average Rent per Bed. Singles	\$850
Average Rent per Bed. 4BR	\$750
Land Cost per Unit	\$0
Program Area	
Total Net Rentable Sq. Ft.	25,000
Average Rent per Sq. Ft. per Year	\$0.00
Parking	
Total Number of Spaces	4
Housing Parking Rent per Month	\$0
Sources & Uses of Funds	
Land Value	\$0
Project Costs	
Hard Costs	\$39,932,118
Soft Costs	\$8,073,425
Total Uses	\$48,005,544
Cost per bed	\$129,395
Sources of Funds	
Construction Loan	\$35,493,655
Historic Tax credits	\$0
Land Equity	\$0
Cash Equity	\$12,511,888
Total Sources	\$48,005,544
Project Return	17%
Yield on Cost	5%
Yield on Debt	6%
Cash Investor IRR	17%
Cash Investor Stabilized Cash on Cash (Avg year 1-5)	4%
Cash Investor Stabilized Cash on Cash (Year 7)	6%

Bellevue College Student Housing Feasibility Study

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5 level Apartment/Residence Hall assuming: LOWER RENTS & COMMERCIAL PREVAILING WAGE

Bellevue College
371 bed Apartment / Residence Hall

Projected Development Costs & Cash Flows

		Project Budget
Land		
Land (purchase)		0
Land (interim lease payment)		0
Construction Costs		
Predevelopment costs		0
Sitework (Parking, Sidewalks, Landscape)		1,447,328
Foundation Costs		0
Building Construction Costs		31,711,789
Adjoining Bldg Demolition		0
Hazardous Materials & Abatement		0
Furniture, Fixtures & Equipment	3000	1,113,000
Design Contingency	0%	0
Security and signage		0
Tenant Improvements		0
Construction Contingency @	7.0%	2,321,138
Sales Tax @	9.5%	3,338,863
Subtotal Construction Costs		39,932,118
Soft Costs		
Pre-Development		100,000
Design Costs (Architect, Engineer, etc.)	6.5%	2,155,000
Design Reimbursables	0.20%	66,000
Specialty Consultants	1.00%	332,000
Construction Testing	0.40%	160,000
Water Meter & Installation	0.50%	200,000
Utility Hook-up / impact fees	0.75%	299,000
PM/ precon		0
Dev Management (Design/Construction)	1.75%	727,494
State & BC Project Management	2.50%	1,047,271
Permits	0.40%	160,000
Builders Risk Insurance	0.30%	120,000
Legal Fees	0.50%	200,000
Promotion and Leasing	0.00%	0
Real Estate Taxes		0
Loan Financing Costs		
Bank Costs - Counsel, Escrow, Title		20,000
Loan Fees - cost of issuance	2.00%	709,873
Interest During Construction	4.65%	925,860
Interest Reserve in Months	3	412,614
Income Offset		0
Bank Inspection		25,000
Reimbursables		40,000
Site Survey	0.08%	32,000
Traffic Study, Geo tech, Environmental	0.15%	60,000
Appraisal		15,000
Miscellaneous		15,000
Soft Cost Contingency	5.0%	251,314
Subtotal Soft Costs		8,073,425
Subtotal Uses of Funds		48,005,544
Cost per Bed	371	129,395
		289
Sources (Listed in Priority)		
Acquisition & Predevelopment Loan		3,256,017
Payoff Acq & Predev Loan		(3,256,017)
Land Equity		0
Historic Tax Credits		0
Cash Equity		12,511,888
Construction Loan		35,493,655
Subtotal Sources of Funds		48,005,544
Cumulative Sources of Funds		

Bellevue College Student Housing Feasibility Study

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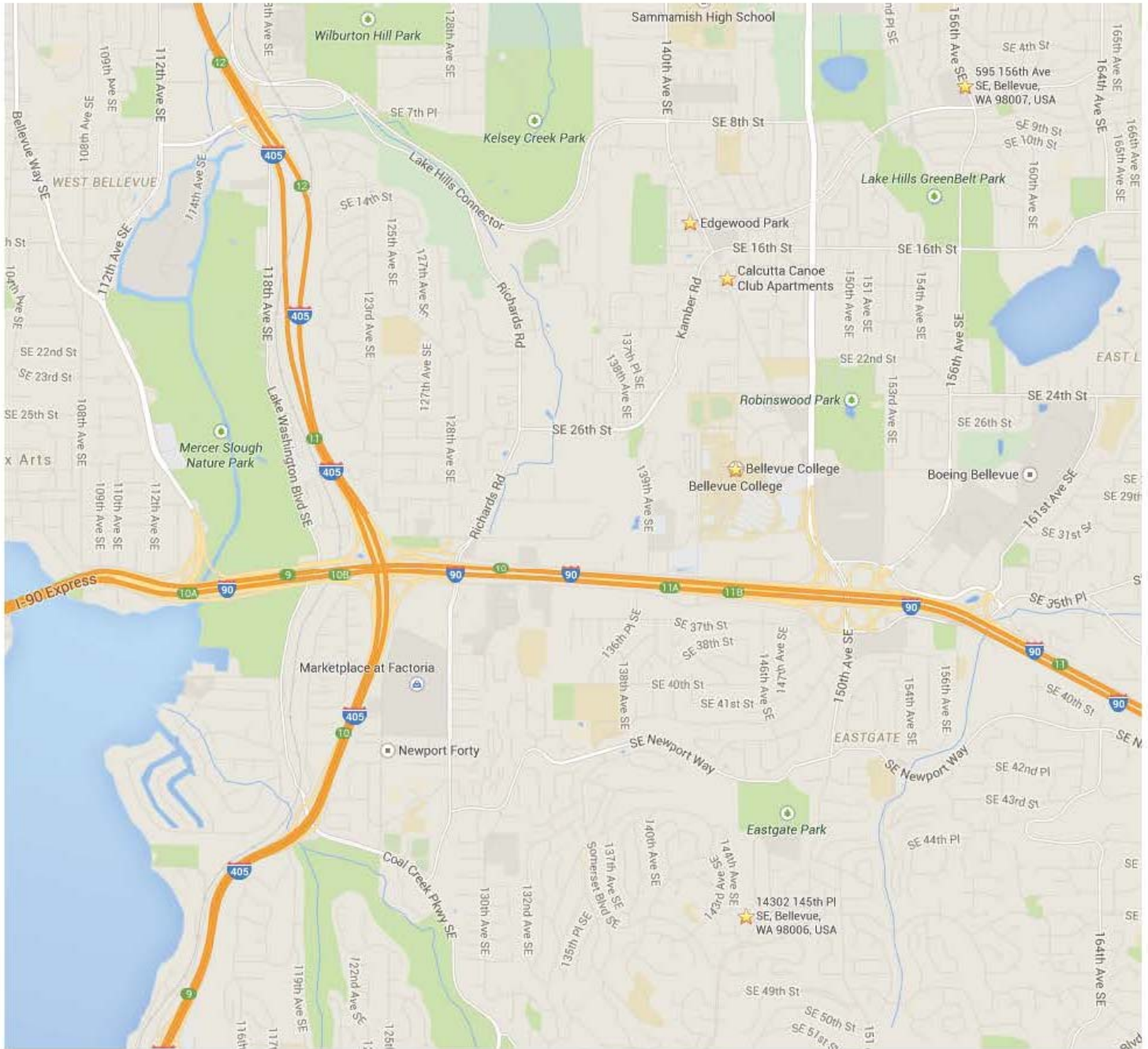
Building Names	The Villas in Bellevue		Kamber Ridge Apartments		Edgewood Park Apartments	
Website	villasinbellevue.com		allianceapts.com/kamberridge		edgewoodparkapts.com	
Address	595 156th Avenue SE Bellevue, WA 98007		14260 SE 18th Street Bellevue, WA 98007		1501 145th Pl SE Bellevue, WA 98007	
Phone Number	855-860-7928		425-641-5670		425-641-1501	
Property Manager	Riverstone Residential Group		Alliance Management, Inc.			
Owner						
Size	2 Bedroom 2 Bath		1 Bedroom 1 Bath		Studio 1 Bath	
Sq. Ft.	974	to 1,225	600		450	to 450
Current Rent	\$1,985	to \$2,195	\$1,225		\$1,140	to \$1,160
Rent Per Sq. Ft.	\$2.04	to \$1.79	\$2.04		\$2.53	to \$2.58
Size	2 Bedroom 2 Bath + Den		2 Bedroom 1 Bath		1 Bedroom 1 Bath	
Sq. Ft.	1,495	to 1,495	800		561	to 710
Current Rent	\$2,310	to \$2,360	1,495		\$1,250	to \$1,400
Rent Per Sq. Ft.	\$1.55	to \$1.58	\$1.87		\$2.23	to \$1.97
Size	3 Bedroom 2 Bath		2 Bedroom 1.5 Bath		2 Bedroom 1 Bath	
Sq. Ft.		1,270	800		845	to 900
Current Rent		\$2,125	\$1,675		\$1,450	to \$1,700
Rent Per Sq. Ft.		\$1.67	\$2.09		\$1.72	to \$1.89
Size	4 Bedroom 3 Bath		N/A		2 Bedroom 2 Bath	
Sq. Ft.	1,482	to 1,509			930	to 1,010
Current Rent	\$2,650.00	to \$2,685.00			\$1,650.00	to \$1,800.00
Rent Per Sq. Ft.	\$1.79	to \$1.78			\$1.77	to \$1.78
Size	5 Bedroom 3.5 Bath		N/A			
Sq. Ft.	1885	to 1924				
Current Rent	\$3,600	to \$3,605				
Rent Per Sq. Ft.	\$1.91	to \$1.87				
Building Amenities	Private Patios and Balconies		On-site Building Management		Broadband Internet Access	
	Nine-foot Ceilings in Select Homes		Pet Friendly		Cable or Satellite	
	Large Walk-in Closets				Extra Storage	
	Private Dining Rooms				Fireplace	
	Great Views				Garbage Disposal	
	Gourmet Kitchens (Black Appliances)				Walk-in Closets	
	Contemporary Mill Work				Washer & Dryer in Unit	
	Dual Master Bedrooms in Select Homes				Most Units w/ Balconies/Patios	
					WiFi in Lobby	
					2 Swimming Pools	
Neighborhood Amenities	Located on Greenbelt		Walking Distance to Bellevue College		Great View	
	Close to Bellevue College		On Bus Lines		Close to Public Transportation	
	Access to Restaurants		Walking Distance to Restaurants		Close to Dining and Shopping	
	Local Farmers' Market		Quiet Area			
	Near Hiking Trails		Easy Access to I-90 and I-405			
	Play Area					
	Underground Parking Garage					
App. Fee			\$40			
Non Refundable Fee						
Deposit (Refundable)	\$250		\$500			
Pet Fee	\$250 per pet					
Pet Deposit			\$500			
Pet Rent						
Pet Restrictions	2 pets per apartment					
Utilities						
Current Special	One month free					
Occupancy						
Units					102	
Lease Terms						
Year Built	2014 (Some construction continuing into January 2015, but units are move-in ready)				1979	

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APPENDIX 3: MARKET RESEARCH

Bellevue College Student Housing Feasibility Study

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Map displays relevant comps within a 2-mile radius.

Bellevue College Student Housing Feasibility Study

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Student Housing Rent Comparison

Community	Studio	1 Bedroom	Room in 2BD	Room in 4BD	Room in 5BD
Campus Corner Apt @ Green River CC	N/A	N/A	N/A	\$666-\$733	N/A
Rainier Place Apt @ Edmonds CC	\$1,100	N/A	\$940	\$815	N/A
Nordheim Court Apt @ UW	\$1,275	\$1,450	\$1,050	\$885	N/A
Bellevue College (proposed Phase 1)	\$1000-\$1100	N/A	\$794	\$900	N/A
Douglas Apt @ Seattle U	N/A	\$1,330-\$1,535	\$1,020-\$1,145	\$950-\$1,025	\$970-\$995
Cedar Apt @ UW	\$1,144	N/A	\$1,107	\$1,087	N/A

Bellevue College Student Housing Feasibility Study

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4 FLOOR

OPTION B

*square footages include ext. wall construction, half of adjoining room wall thickness & all of corridor wall thickness

RESIDENTIAL UNIT MIX

FLOOR	Studio/ Shared Bath (271 sf*)	Studio/ Private Bath (339 sf*)	4BR/2BA corner (1377 sf*)	4BR/2BA (1183 sf*)	Unit Total	Bed Total	Area Total
**R5 (Wood)	10	13	5	6	34	67	21100
R4 (Wood)	12	14	9	8	43	94	29855
R3 (Wood)	12	14	9	8	43	94	29855
R2 (Wood)	10	11	7	6	34	73	23176
R1 (Wood)	4	4	3	0	11	20	6571
Unit Total	48	56	33	28	165		
Bed Total	48	56	132	112		348	
Area Total (sf)	13008	18984	45441	33124			110557

TYPICAL PROGRAM AREA FLOORS 3-4

USE	AREA (sf)
Studio/Shared Bath	3252
Studio/Private Bath	4746
4BR/2BA Corner	12393
4BR/2BA	9464
Floor Lounge	546
Study Lounge	546
Electrical 1	238
Electrical/Bldg Service	501
Custodian/Storage	187
Trash/Recycle	337
Circulation	5907
SUBTOTAL	38117

TYPICAL PROGRAM AREA FLOORS 2

USE	AREA (sf)
Studio/Shared Bath	2710
Studio/Private Bath	3729
4BR/2BA Corner	9639
4BR/2BA	7098
Floor Lounge	546
Study Lounge	546
Electrical 1	238
Electrical/Bldg Service	501
Custodian/Storage	187
Trash/Recycle	337
Basement	6694
Circulation	5892
SUBTOTAL	38117

TYPICAL PROGRAM AREA FLOOR 5**

USE	AREA (sf)
Studio/Shared Bath	2710
Studio/Private Bath	4407
4BR/2BA Corner	6885
4BR/2BA	7098
Floor Lounge	709
Study Lounge	546
Electrical 1	238
Custodian/Storage	187
Trash/Recycle	337
Circulation	4423
SUBTOTAL	27540

PROGRAM AREA FLOOR 1

USE	AREA (sf)
Residential Lobby	743
RD 2BD/1BA apt	882
RD Office/Advisory	457
Guest Lecturer 2BD/1BA apt	882
Guest Lecturer 2BD/1BA apt	882
4BR/2BA Units	0
4BR/2BA Corner Units	4131
Studio w/ Shared Bath Units	1084
Studio w/ Private Bath Units	1356
Laundry (1 W/D per 20 beds = 18 W/D)	832
Main Building Lounge	2019
Group Kitchen	300
Mail Boxes/Package	406
Meeting Room 20 person	635
Public Restroom	70
Public Restroom	70
Custodial Office	144
Custodial Storage	307
Trash/Recycle	337
Vending	175
Electrical	425
Mechanical/Basement	1946
Basement	3209
Circulation	4155
SUBTOTAL	25447

TOTAL FLOOR AREA	167338
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**overall building mass on 4 levels, but building steps with slope

Bellevue College Student Housing Feasibility Study

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5 FLOOR

OPTION B *square footages include ext. wall construction, half of adjoining room wall thickness & all of corridor wall thickness

RESIDENTIAL UNIT MIX

FLOOR	Studio/ Shared Bath (271 sf*)	Studio/ Private Bath (339 sf*)	4BR/2BA Corner (1377 sf*)	4BR/2BA (1183 sf*)	Unit Total	Bed Total	Area Total
R4 (Wood)	12	12	8	8	40	56	16592
R3 (Wood)	12	12	8	8	40	56	16592
R2 (Wood)	12	12	8	8	40	56	16592
R1 (Wood)	12	12	8	8	40	56	16592
Podium (Conc)	2	3	1	1	7	9	2708
Unit Total	50	51	33	33	167		
Bed Total	50	51	132	132		365	
Area Total (sf)	13550	17289	45441	39039			69076

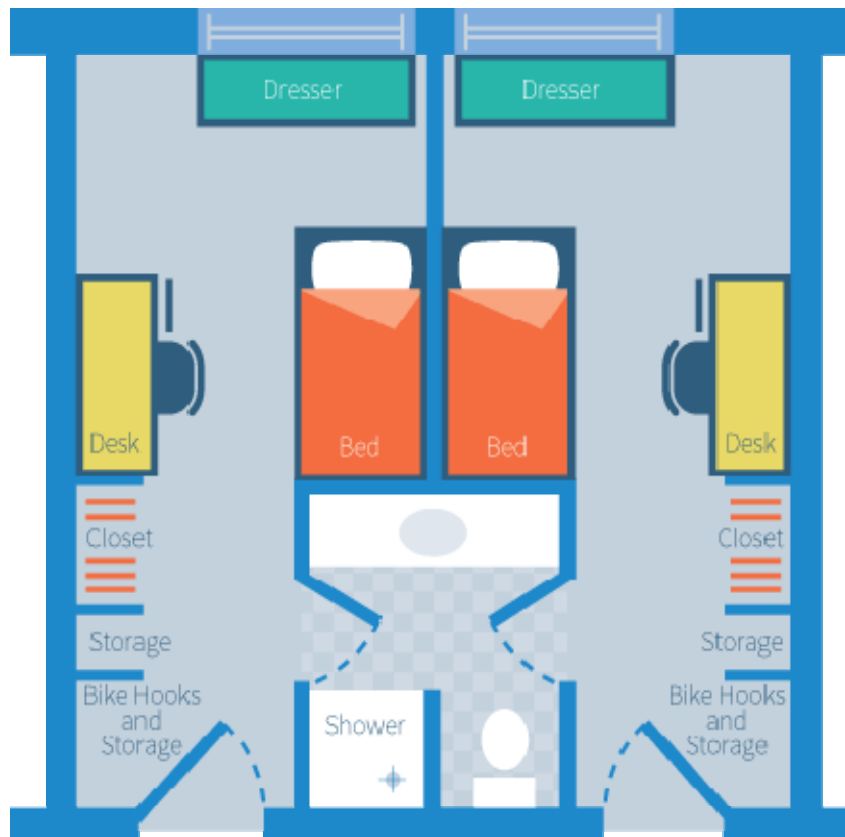
WOOD FRAME PROGRAM AREA (TYPICAL OF 4 FLOORS)

USE	AREA (sf)
Studio/Shared Bath	3252
Studio/Private Bath	4068
4BR/2BA Corner	11016
4BR/2BA	9464
Floor Lounge	561
Study Lounge	561
Electrical 1	238
Electrical 2	293
Custodian	187
Trash/Recycle	337
Circulation	5618
SUBTOTAL	35595

COMMERCIAL

USE	AREA (sf)
Residential Lobby	800
RD 2BD/1BA apt	882
RD Office/Advisory	500
Guest Lecturer 2BD/1BA apt	882
Guest Lecturer 2BD/1BA apt	882
Studio/Shared Bath	542
Studio/Private Bath	1017
4BR/2BA Corner	1377
4BR/2BA	1183
Laundry (1 W/D per 20 beds = 18 W/D)	850
Main Building Lounge	1412
Group Kitchen	300
Mail Boxes/Package	437
Meeting Room 20 person	678
Study Lounge	526
Public Restroom	70
Public Restroom	70
Custodial Office	144
Custodial Storage	300
Trash/Recycle	337
Vending	163
Basement/Mechanical	3075
Basement	2626
Electrical 1	293
Electrical 2	425
Circulation	4213
SUBTOTAL	23984

TOTAL FLOOR AREA	166364
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STUDIO / SHARED BATH

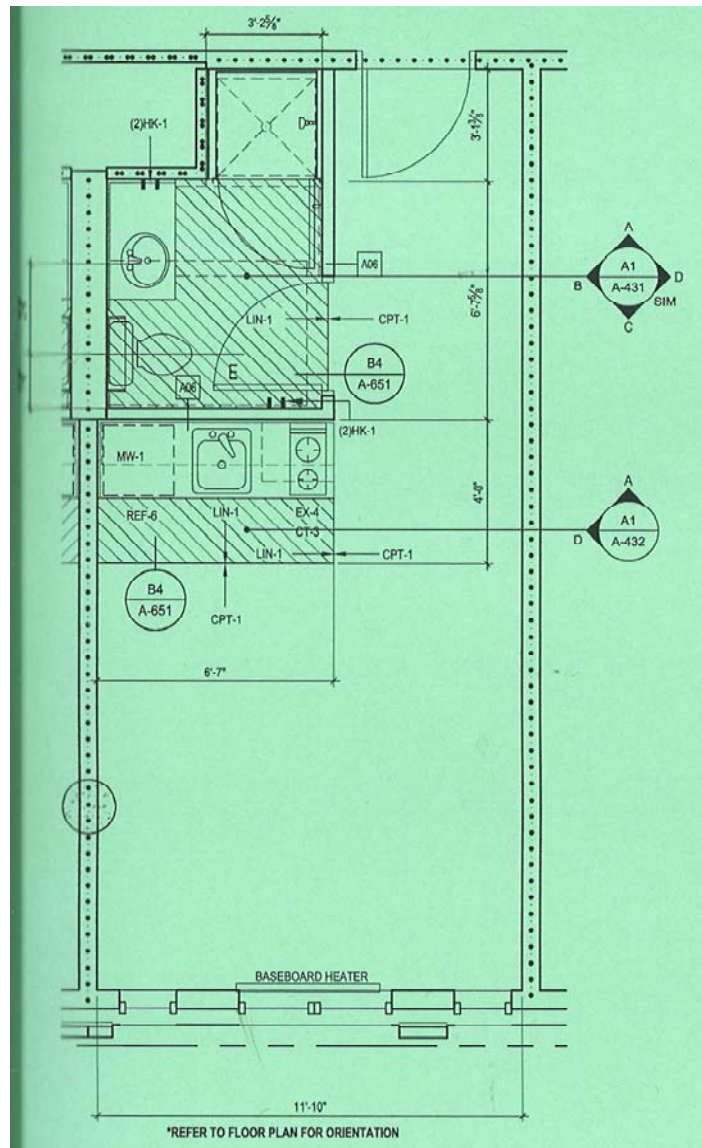
Case Study from University of British Columbia

Bellevue College Studio with Shared Bath:

- 257 SF (approximately 22'-0" x 12'-4")
 - * SF includes exterior wall, corridor wall, ½ shared walls
- Includes a small kitchenette

Bellevue College Student Housing Feasibility Study

1-9-2015



STUDIO / PRIVATE BATH

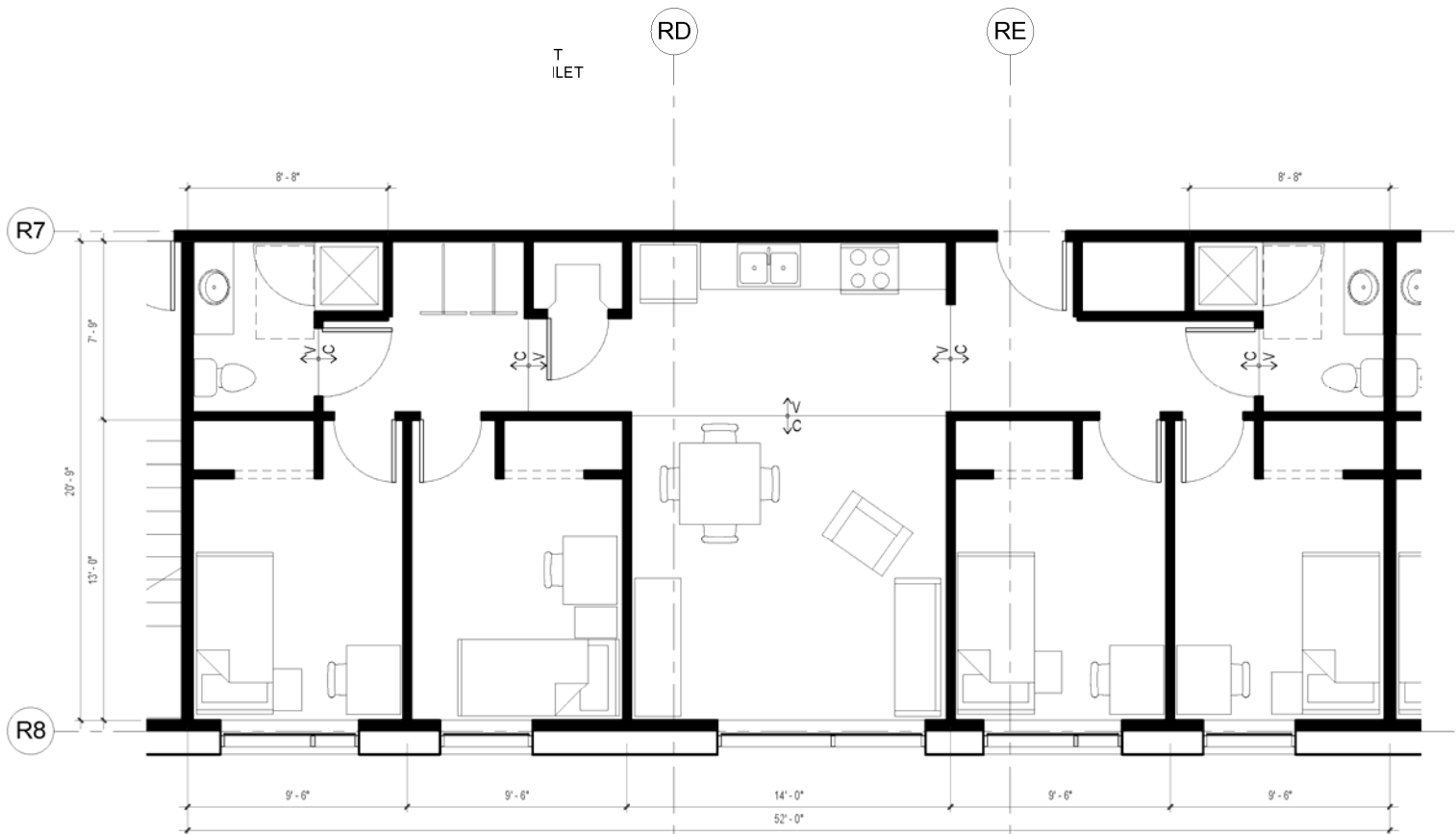
Case Study from University of Washington

Bellevue College Studio with private bath assumptions:

- 337 SF (approximately 27'-6" x 12'-4")
 - * SF includes exterior wall, corridor wall, 1/2 shared walls
- Includes a small kitchenette

Bellevue College Student Housing Feasibility Study

1-9-2015



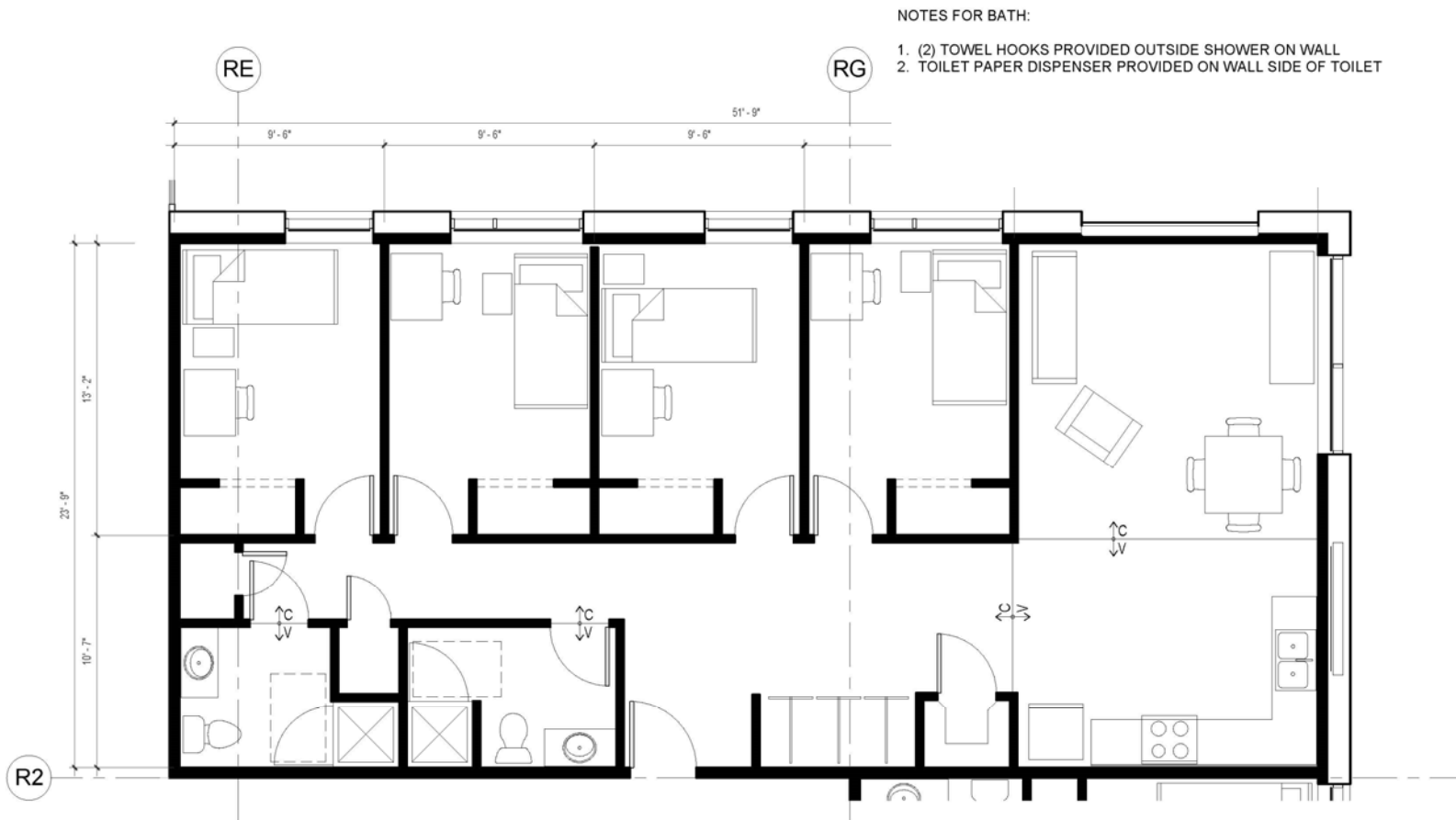
Case Study from University of Washington

Bellevue College 4BR/2BA assumptions:

- 1183 SF (approximately 22'-9" x 52'-0")
 - * SF includes exterior wall, corridor wall, ½ shared walls

Bellevue College Student Housing Feasibility Study

1-9-2015



4 BR / 2 BA CORNER UNIT

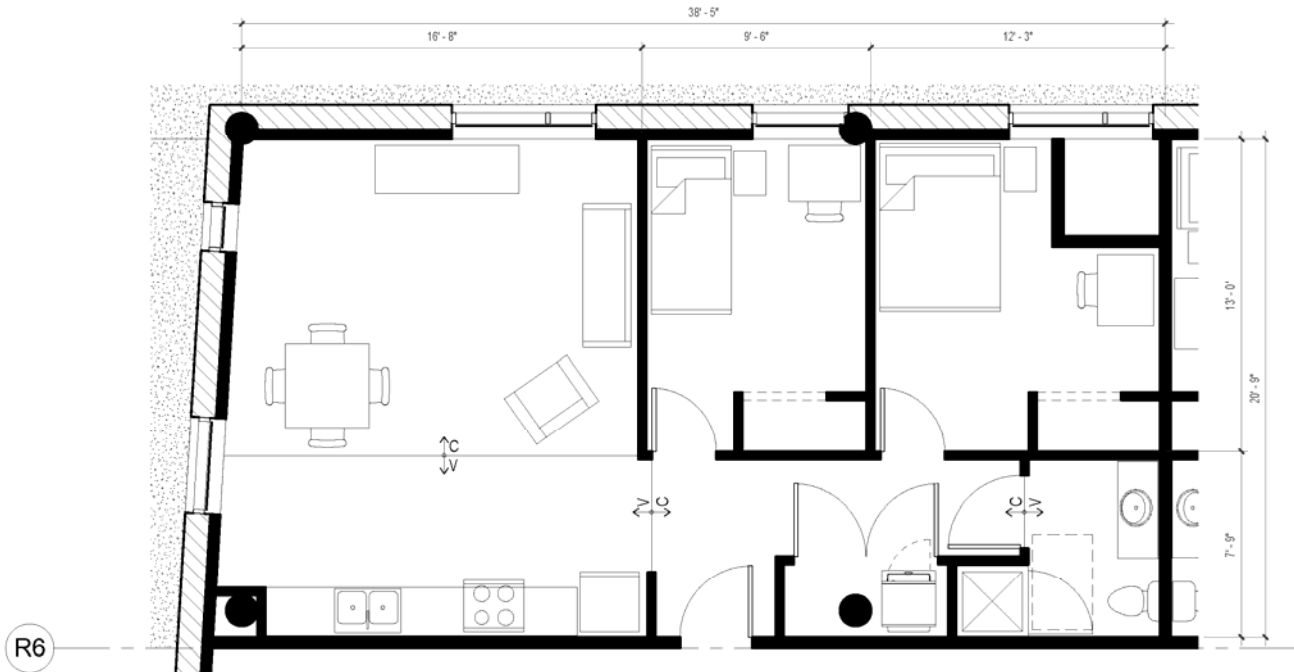
Case Study from University of Washington

Bellevue College 4BR/2BA Corner Unit assumptions:

- 1377 SF (approximately 25'-9"x 53'-6")
 - * SF includes exterior wall, corridor wall, ½ shared walls

Bellevue College Student Housing Feasibility Study

1-9-2015



2 BR / 1 BA

Case Study from University of Washington

Bellevue College 2BR/1BA:

- 882 SF (approximately 22'-9" x 38'-9")
 - * SF includes exterior wall, corridor wall, ½ shared walls

Wet Utility Feasibility Review Sitewise Design PLLC

December 18, 2014

Chad Zettle AIA
Spectrum Development Solutions
1402 Third Ave. Suite 925
Seattle, WA 98101

Re: Bellevue College – New Student Housing
Wet Utility Feasibility Review

Dear Chad:

In accordance with our agreement, we are pleased to provide this letter report summarizing the results of our wet utility feasibility review for the above referenced project.

Introduction

The project as we understand it consists of potentially three buildings with a total of approximately 1000 beds, to be located in an area generally bounded by the following:

- SE 24th Street/Kelsey Creek Road to the north;
- Kelsey Creek Road to the west;
- 145th Place SE to the east;
- SE 26th Street to the south.

The buildings are expected to be 4 stories of Type VA construction over a ground floor of Type 1A, with each floor in the range of 35,000-40,000 SF of total floor area. Buildings are expected to be fully sprinklered, and we understand the project will be completed in phases, with the first phase comprising one building with approximately 350 beds.

The project area is currently developed with an existing parking lot in its northern extents, and existing single family homes in its southern extents. There are numerous wet utility public mains adjacent to and within the project area. In addition to the public mains, we understand from Figure 3.12 in the 2008 (revised in 2010) Master Plan document that there are College owned water and sewer mains within the area of the planned improvements.

As the project is in a very conceptual stage, our review focused on the current ability of the surrounding wet utility public infrastructure to provide adequate capacity for the proposed improvements. In discussions with the City, it was confirmed that the new buildings would be allowed to obtain wet utility services from the surrounding public infrastructure or from the College owned wet utilities referenced above.

Certain wet utilities, such as water systems for fire protection, will have different delivery requirements depending on the actual type of building construction, level of sprinkler coverage, and size. We have used the above understanding of these parameters in making our assessments and in our discussions with City staff.

Our review included the following sources of information:

- Conceptual plans provided by Spectrum Development Solutions
- Bellevue College Master Plan, Revised 2010
- Partial Land Surveys for the project area provided by Spectrum Development Solutions
- Information provided by the City of Bellevue regarding existing public utilities in the project area
- Discussions with City of Bellevue staff

Storm Drainage:

The project area appears to have access to both City of Bellevue public storm drain facilities and the College storm drain system, based on GIS data received from the City of Bellevue. Please refer to Figure 1 for GIS data received from the City. The public storm drain is located in SE 24th Street and consists of 12" diameter pipe. The portion of the College system accessible to the project area is located in Kelsey Creek Road and consists of 10" pipe which then heads west through the campus after crossing 144th Ave SE. We do not have any information regarding the College system downstream of this point.

It is anticipated that the project will need to provide flow control mitigation for the proposed improvements, and therefore, post development storm drainage flows are anticipated be less than current flows from the project area for many storm events. Regardless, the conveyance system is required to provide capacity for the 100 year storm flows, to the point of connection to the City public storm drain.

Based on the above information, it appears that the portion of the College storm drain system in Kelsey Creek Road would have the necessary capacity for Phase 1. It appears Phases 2 and 3 would need to extend the College system to serve those facilities, and the length of such extensions will be determined by the siting of facilities in those phases, and the proximity to other portions of the College storm drain system.

Sanitary Sewer:

The project area appears to have access to City of Bellevue public sanitary sewer facilities based on GIS data received from the City of Bellevue. Please refer to Figure 2 for GIS data received from the City. The public sewer is located in SE 24th Street and consists of 8" diameter pipe. Based on information in Figure 3.12 of the College Master Plan, the project area does not have adjacent access to the College sanitary sewer system; the closest portion of that system is located approximately 650' west of the project area.

The portion of the City system accessible to the project appears to have sufficient capacity and proximity to serve Phase 1. If Phases 2 and 3 were to be served by the City system, it is anticipated that a public main extension would be necessary. Based on Site Option B, and assuming a far side extension to the Phase 3 building, that would be an approximately 1000' long main extension.

As indicated above, it appears that all three Phases of the project would require a lengthy extension if connection to the College sewer system is desired or required, though it does appear that such a connection could feasibly be made via gravity and would not require pumping.

Domestic Water and Fire Protection

The project area appears to have access to City of Bellevue public water facilities based on GIS data received from the City of Bellevue. Please refer to Figure 3 for GIS data received from the City. Public water mains are present as follows: an 8" main in SE 24th Street, and 6" mains in 144th Ave. SE, SE 26th Street and 145th Place SE. Based on information in Figure 3.12 of the College Master Plan, the project area also has access to the College water system.

As the college water system is entirely metered, provision of fire flows and sprinkler service from that system is not anticipated.

We understand from City staff that the pressure zone of the public mains is 520. With elevations in the project area ranging from 430 to 390 feet, this zone would provide static pressures in the range of 38 to 56 psi in the project area.

Based on the above, we anticipate that sufficient capacity exists in the City system to provide domestic water service to the proposed buildings. It appears that all three Phases of the project would have access for domestic connection to the College water system. However, the Master Plan does not have sufficient information to determine the feasibility of connection to that system from a capacity standpoint. In all cases, we would anticipate that there will be a need for domestic booster pumps to provide required delivery pressures.

We anticipate that water supply for fire hydrants and sprinkler systems will be provided from the City mains. While we do not have any recent hydrant flow tests, the City did provide us with the results of a hydrant flow test performed in 1997 on a hydrant at the very north end of the project area in SE 24th Street. That test indicated a hydrant flow of 2200 gpm at 20 psi residual pressure, as can be seen on Figure 3.

The required hydrant fire flow cannot be known with a great degree of accuracy until more details of the building design are determined. For example, the mix of construction types and the floor area of each type will affect how the AHJ interprets the recommended fire flow as provided in the International Fire Code. In conversations with the City of Bellevue, we were told that in cases where there are several floors of Type VA construction over a single floor of Type 1A, the required fire flow will be based upon the total square footage of the Type VA construction. In addition, we were told that if a building is fully sprinklered, that a reduction of 75% would be applied to the unadjusted fire flow requirement, with a minimum fire flow requirement of 1500 gpm.

Working from the above understanding, and with an aggregate floor area of 160,000 SF of Type VA construction for the four upper floors, the IFC indicates an unadjusted fire flow requirement of 7250 gpm. Assuming that buildings will be fully sprinklered results in an adjusted fire flow requirement of approximately 1800 gpm.

Given the low static pressure in the project area, in combination with the lack of 8" and larger mains in the southern portions of the project area, we anticipate that new public water mains would need to be extended through the project area to provide the required flow and hydrant coverage. Though the specific improvements will be determined by the City during project review, we expect these new mains could originate from 148th Ave SE, approximately 1000 feet east of the project area, where there is an existing 16" City water main, and could be extended to the site via the SE 24th Street ROW. The location and diameter of the main hydrant loop through the project area will be determined by the layout of the proposed buildings and fire access routes.

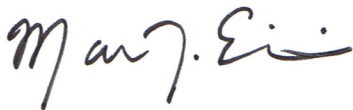
Lastly, we would anticipate that there will be a need for fire sprinkler booster pumps to provide required delivery pressures for building sprinkler systems.

Closure

We have based our conclusions provided above on the information we were able to obtain in the time frame allotted for our work. A more thorough assessment of capacity and connection requirements by the City should be obtained by submitting a Predevelopment Services Application, which provides City staff with a chargeable means to perform modeling in support of assessing connections and supply capabilities of the City wet utility systems, as well as make recommendations for upgrades to those systems. We can assist with preparing such an application if desired.

We trust this letter report serves your needs in assessing the feasibility of the proposed project with regards to wet utilities. Please let us know if you have any questions regarding the information provided.

Sincerely,

A handwritten signature in black ink, appearing to read "Marc Errichetti". The signature is fluid and cursive, with a stylized "M" and "E".

Marc Errichetti, PE
Principal

w/attach Figures 1-3

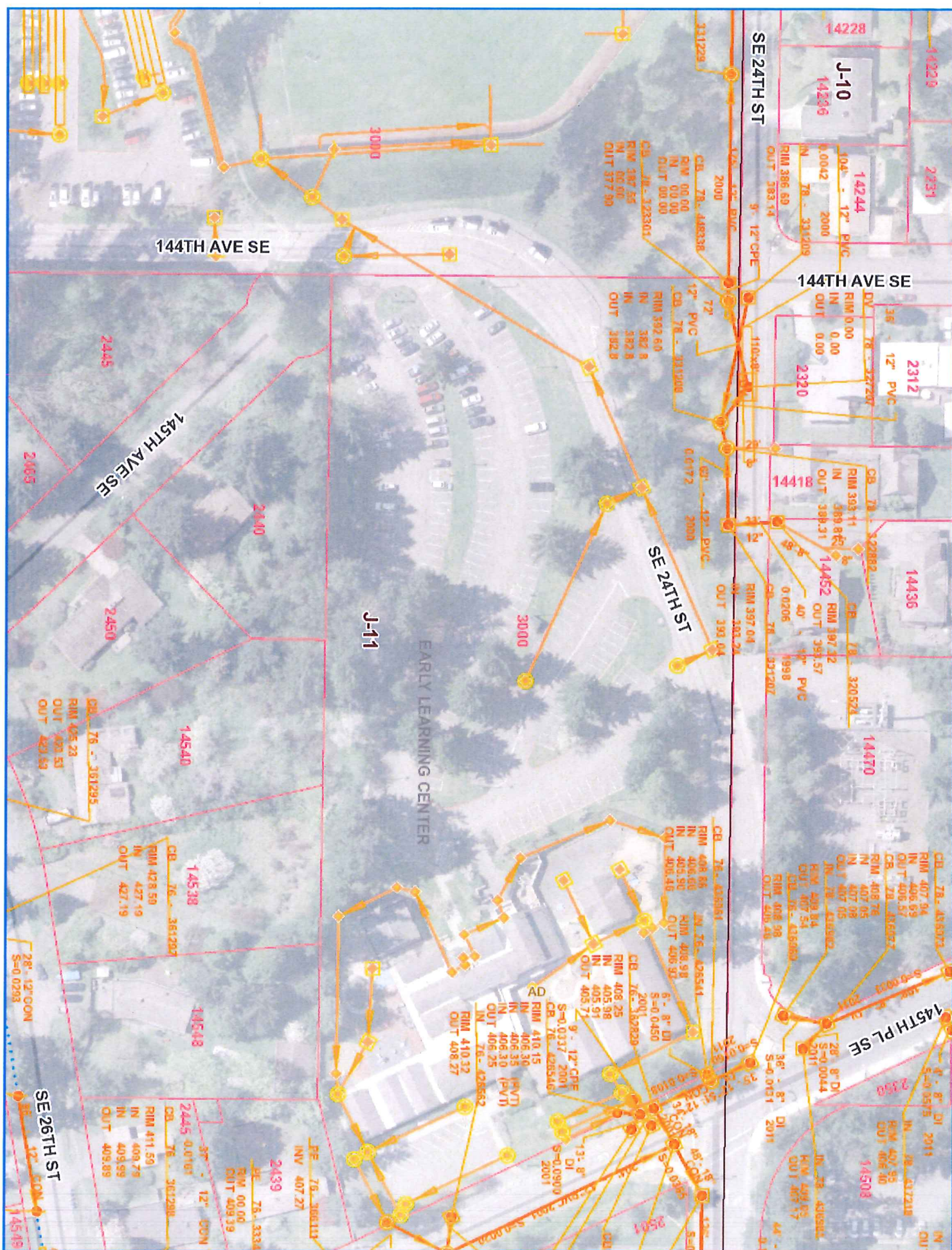


FIGURE 1 - STORM DRAINAGE

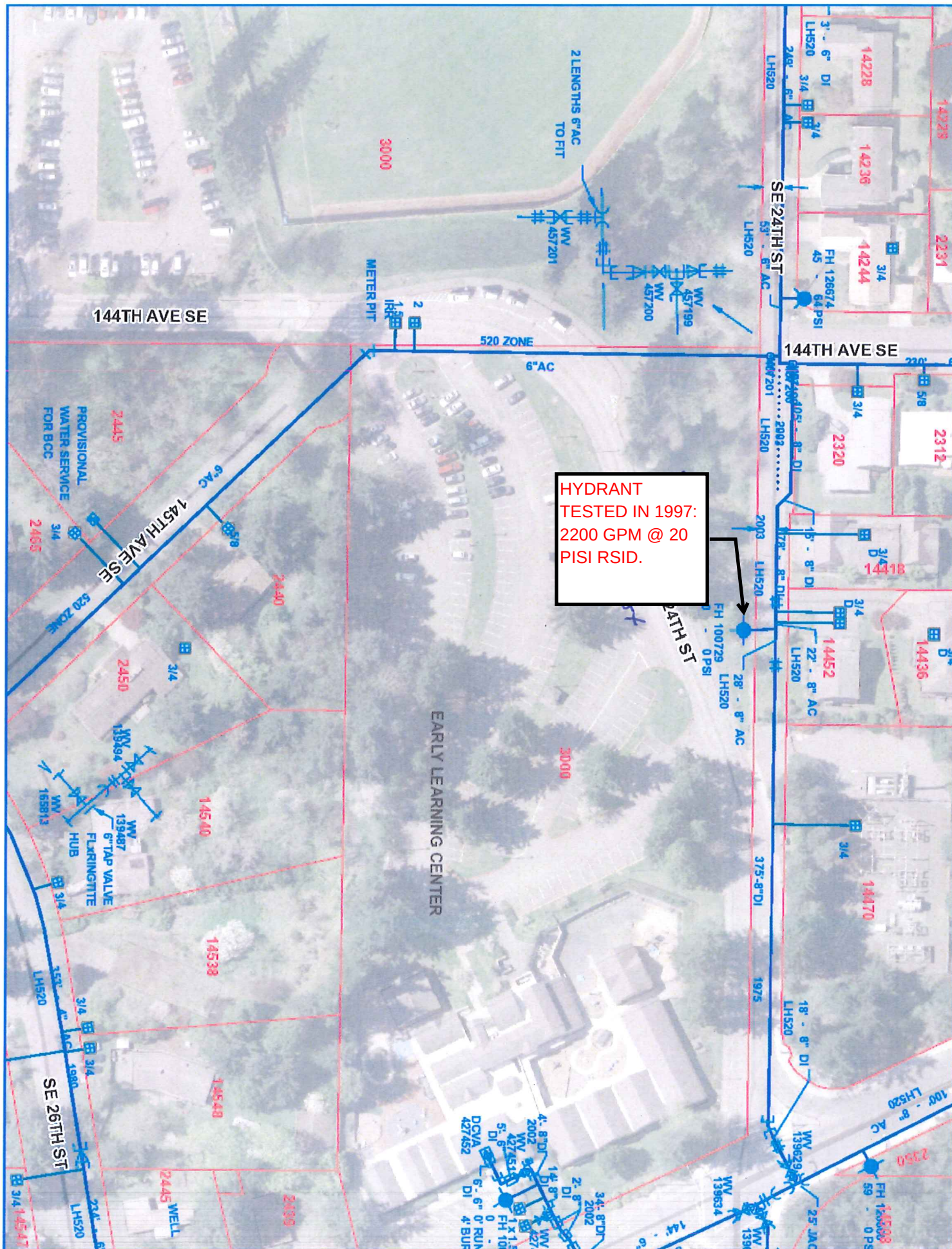


FIGURE 3 - WATER